Conservative Fixed-income Solution: 2 Year Treasury Note

Oct 2026

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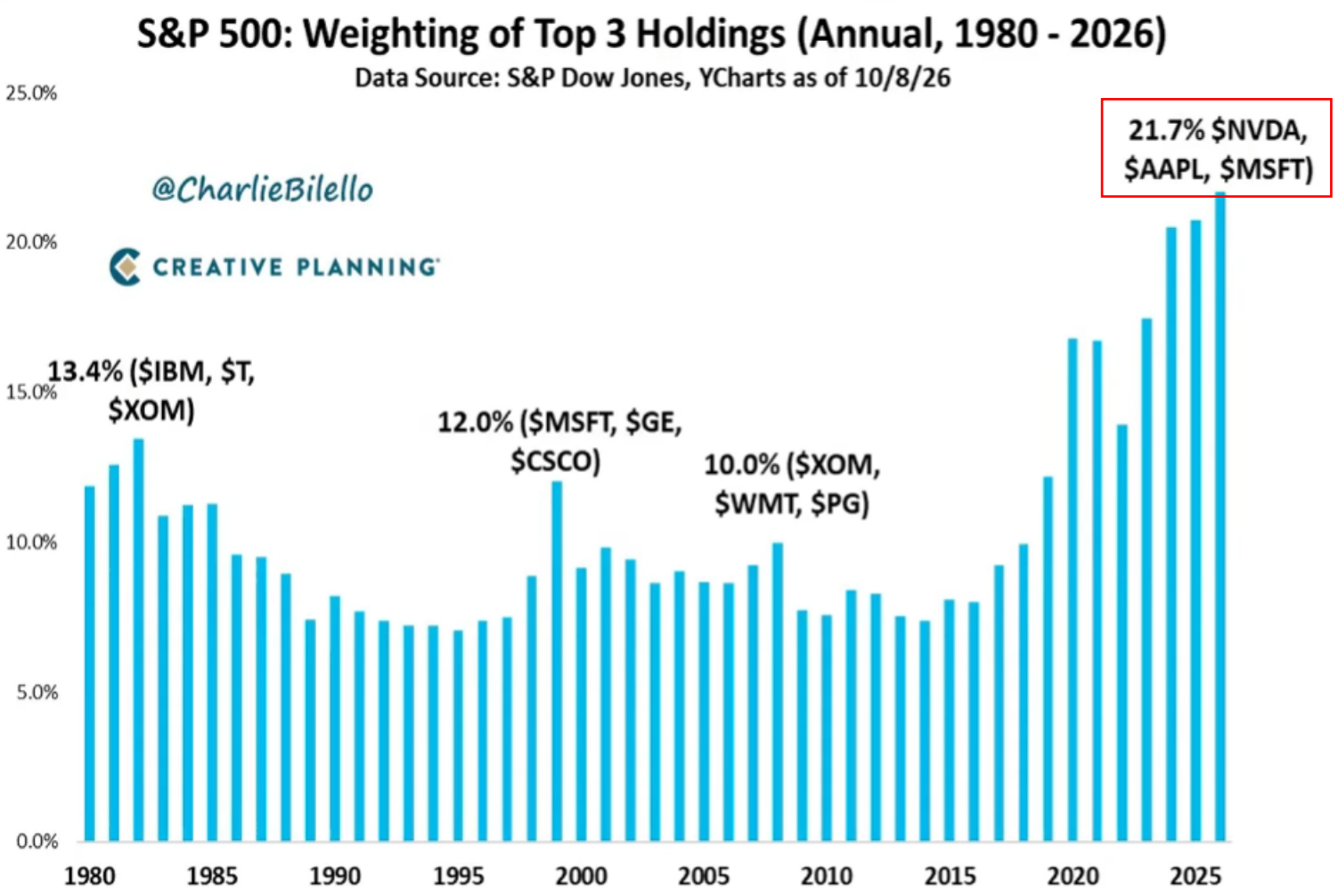
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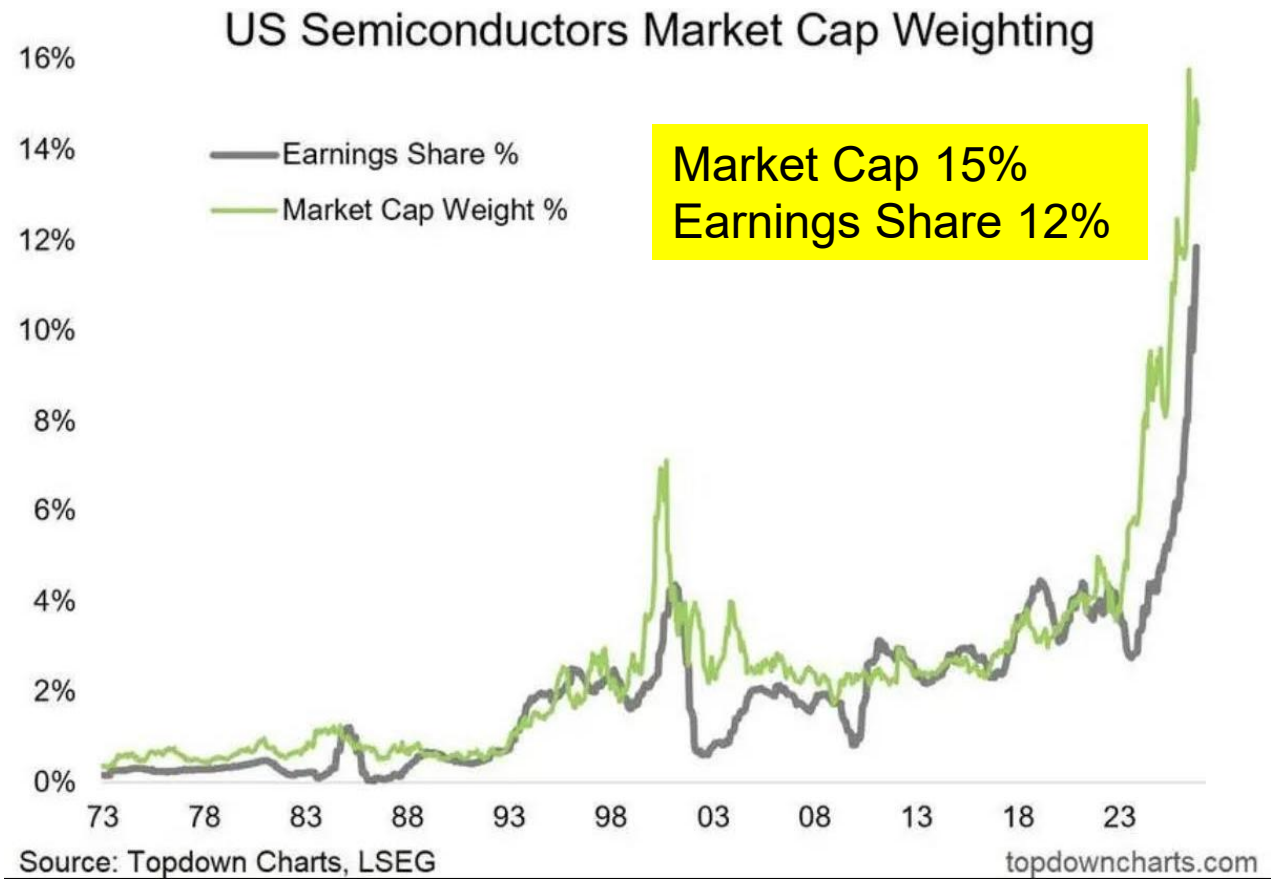
3. Other strategies (CDS, Gold, Cash, TIPS, Treasury bill)
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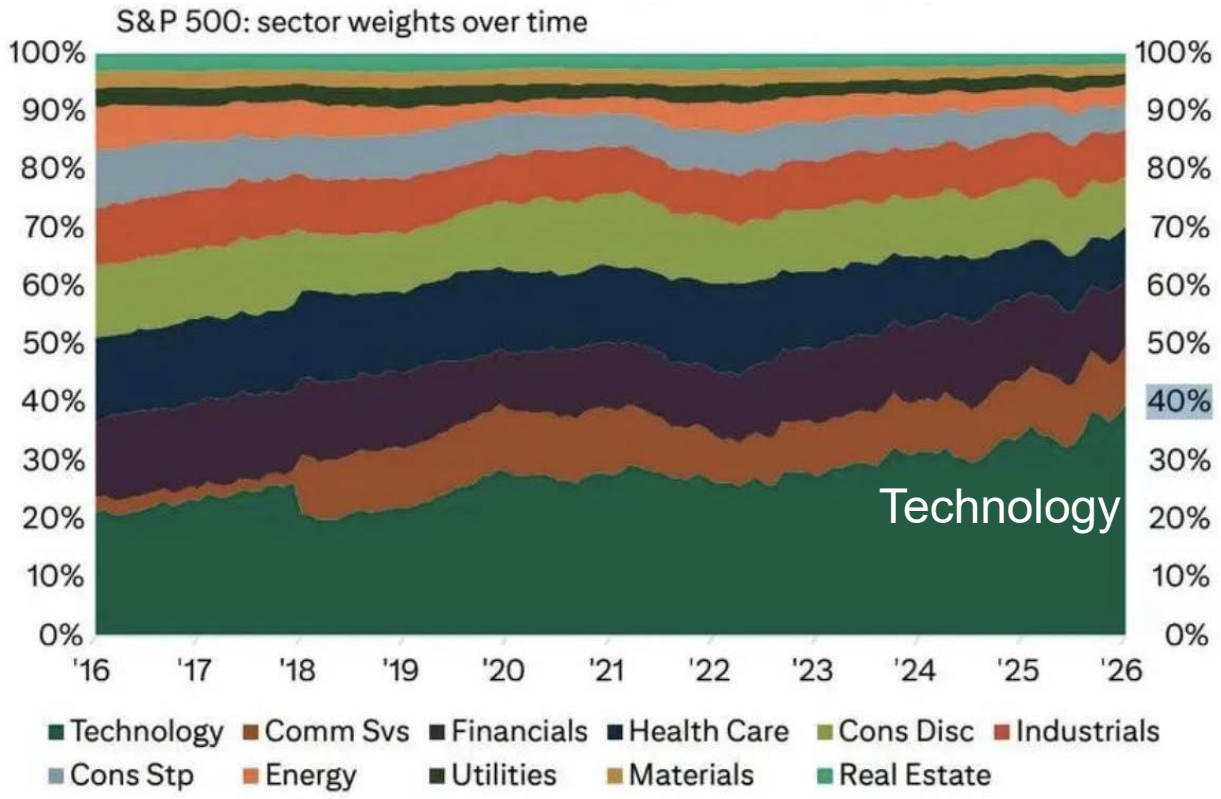
High Market highly concentrated (Top 3)



Market highly concentrated (US Semiconductors)

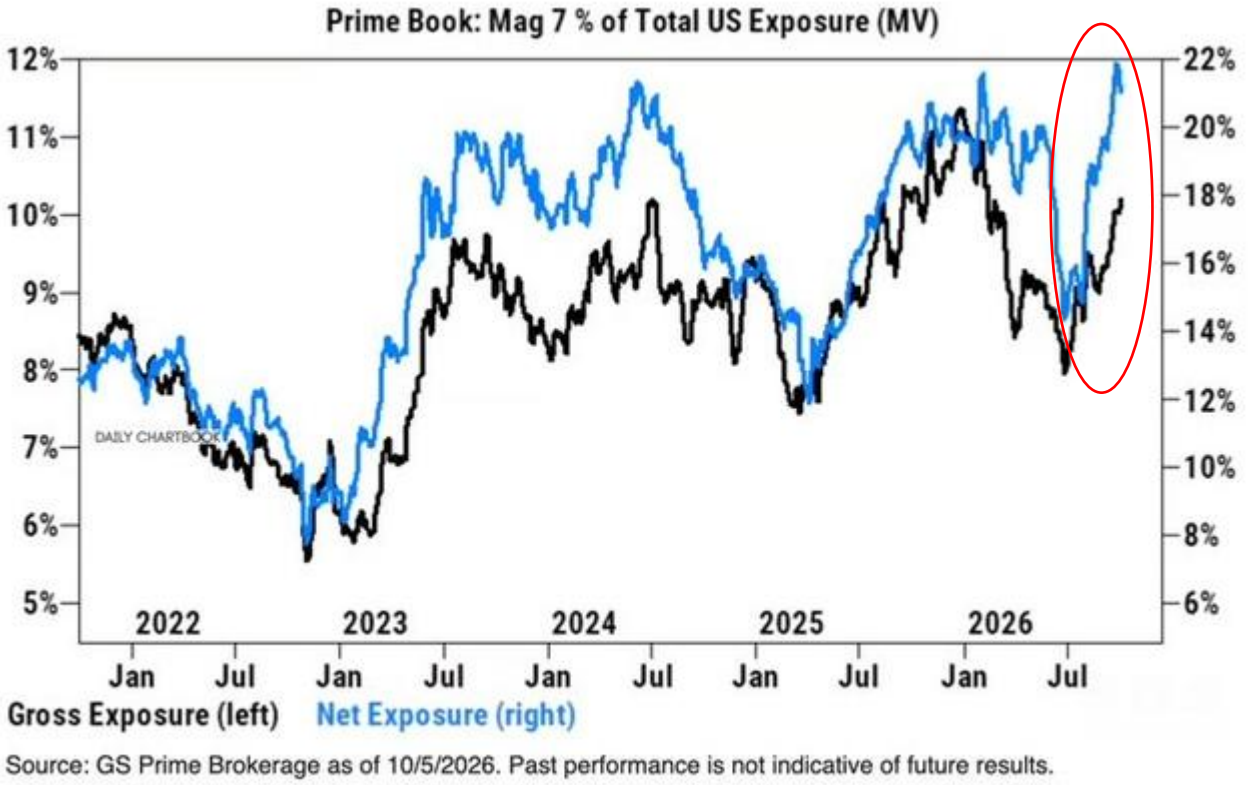


Market highly concentrated (Technology overall)



Tech market share accounts for 40% of S&P500

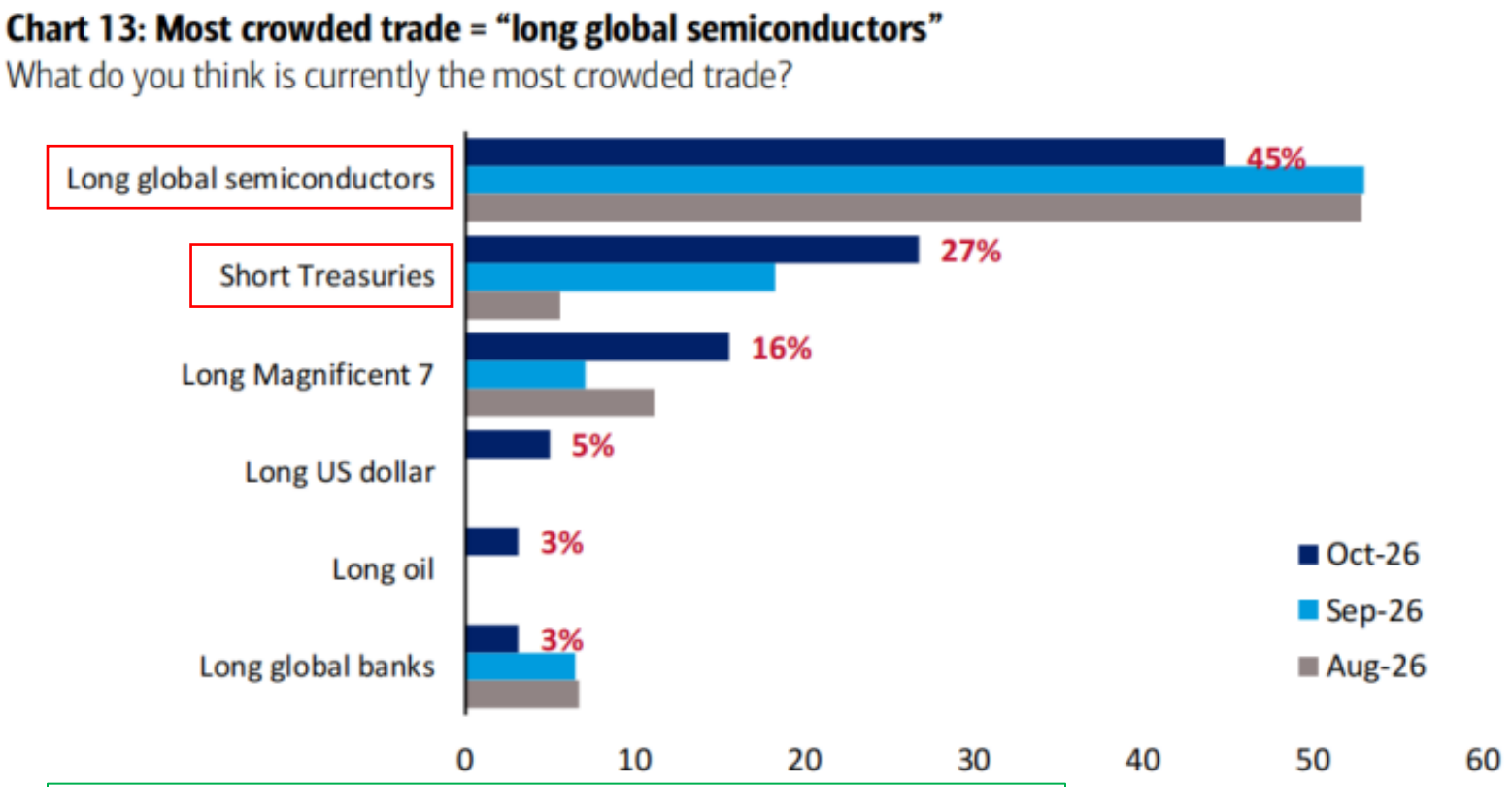
Mag 7 net exposure, % of hedge-fund US holdings



Source: GS Prime Brokerage as of 10/5/2026. Past performance is not indicative of future results.

Cumulative net inflows to Mag 7

Long global semiconductor and short treasuries are the two most crowded trade in Oct

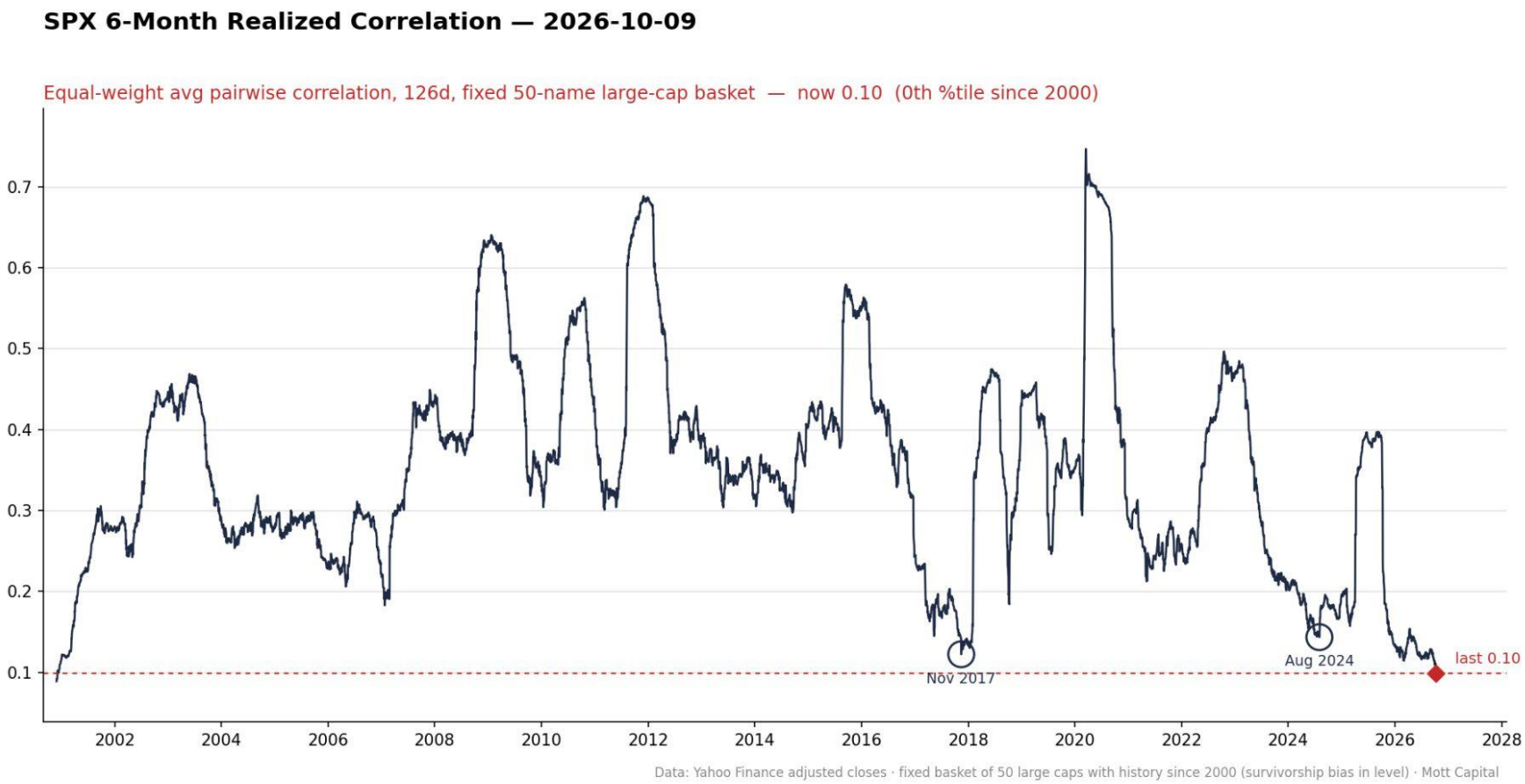


We think these two crowded trades mean:

1. Limited upside potential
2. Strong reverse opportunity

Equal weight underperform

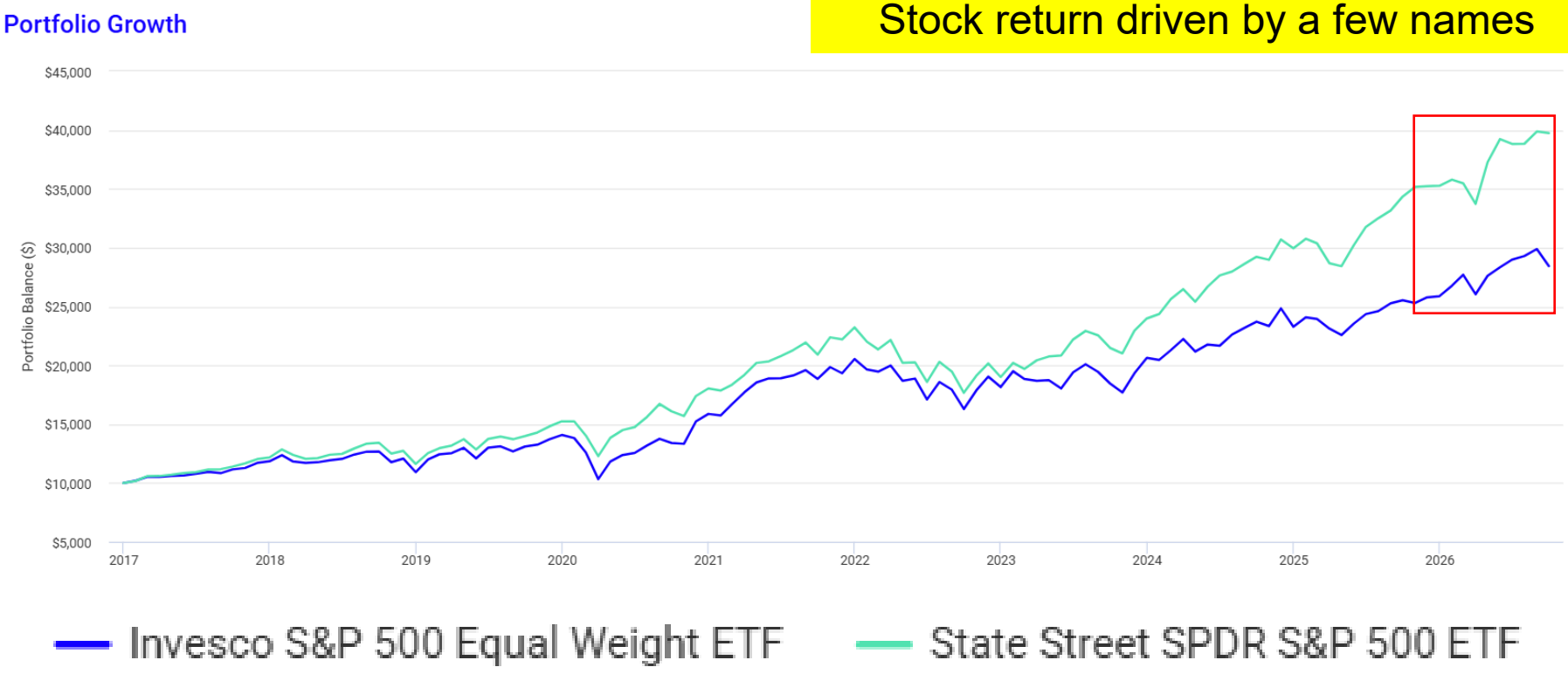
Stock growth rely on the few AI-driven companies



Lowest correlation since 2001

Equal weight underperform Overall index

Larger divergence recently –
Stock return driven by a few names



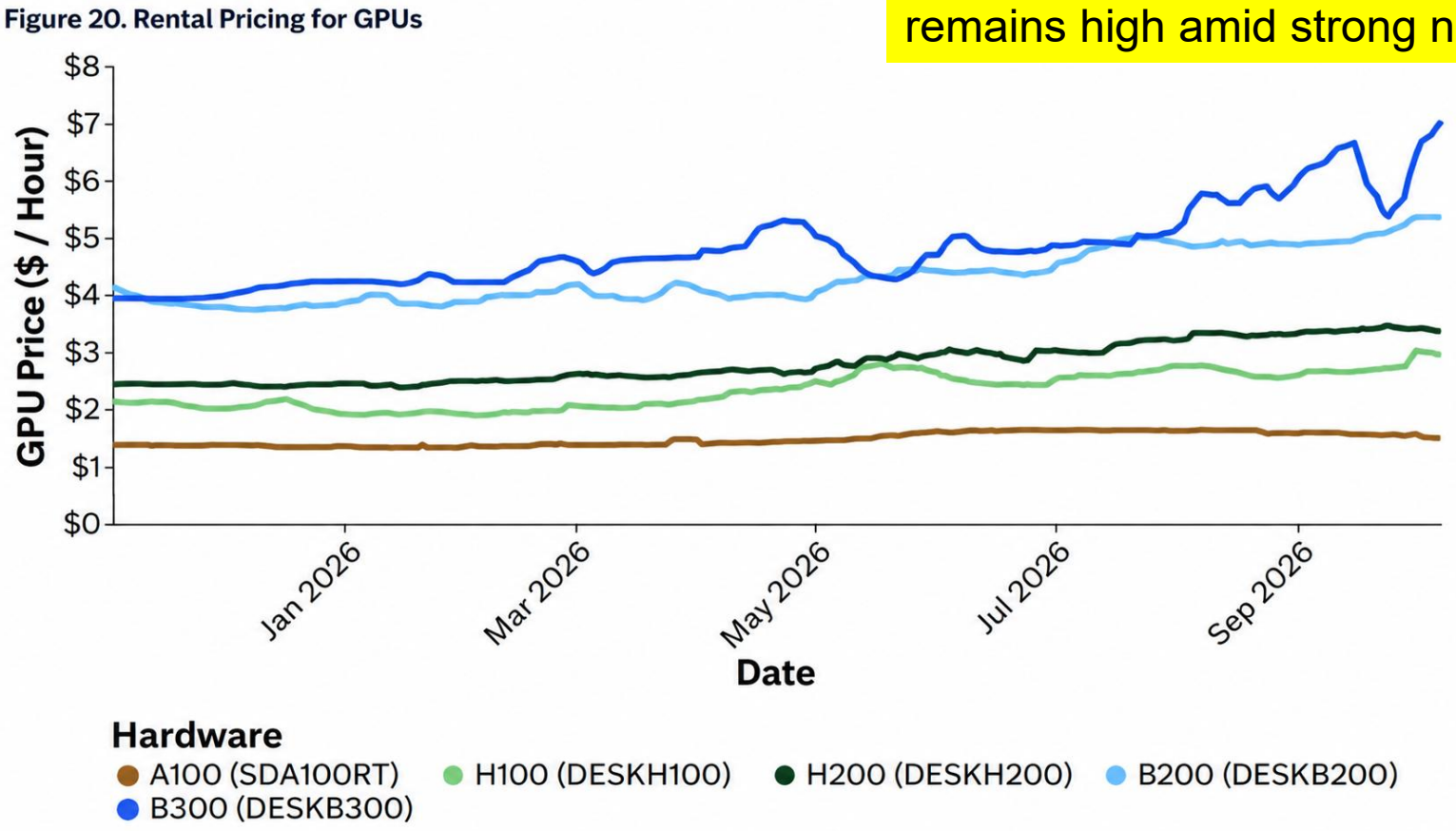
42 AI stocks account for 67% Return, 58% Earnings growth and 81% Capex



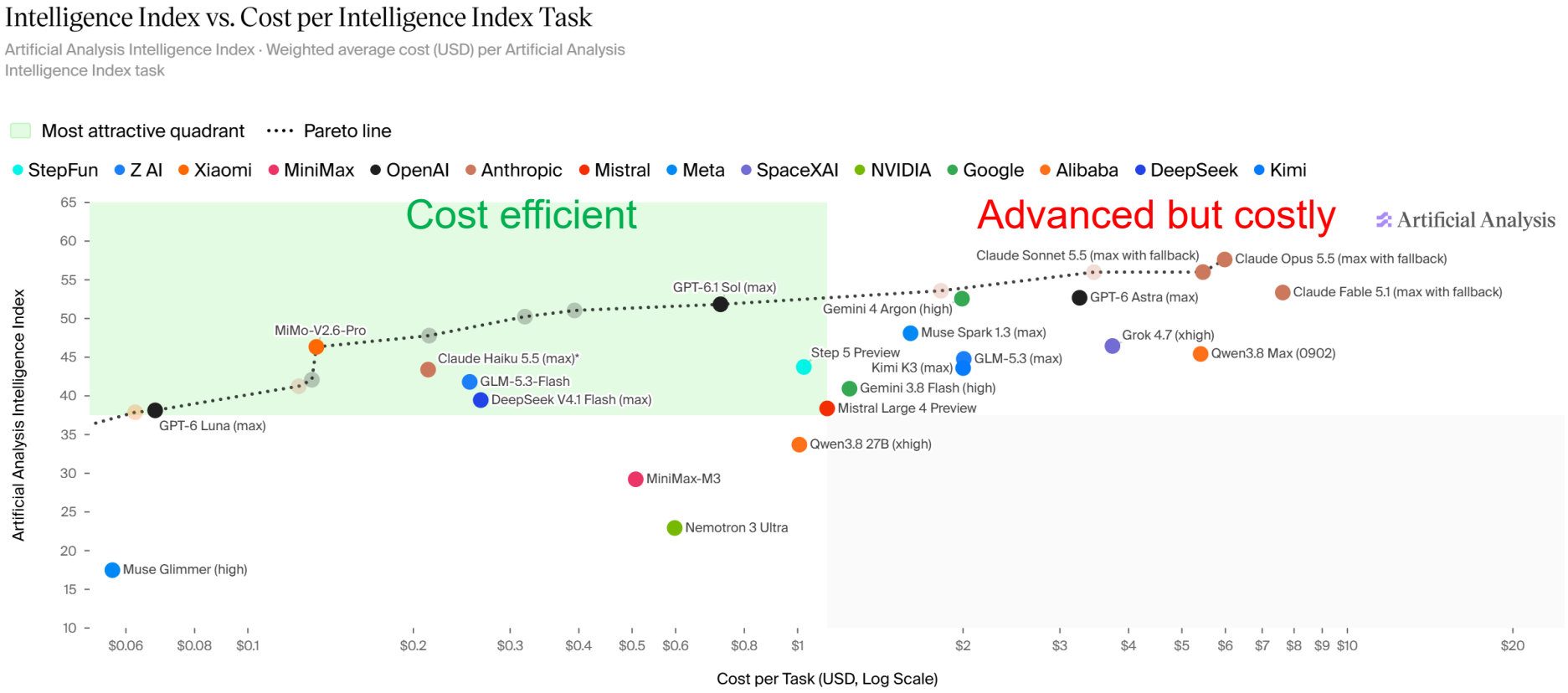
While market attention is on AI, we pay more attention to the rest

What we see for AI models – Cost side

Cost side: GPU rental price remains high amid strong need

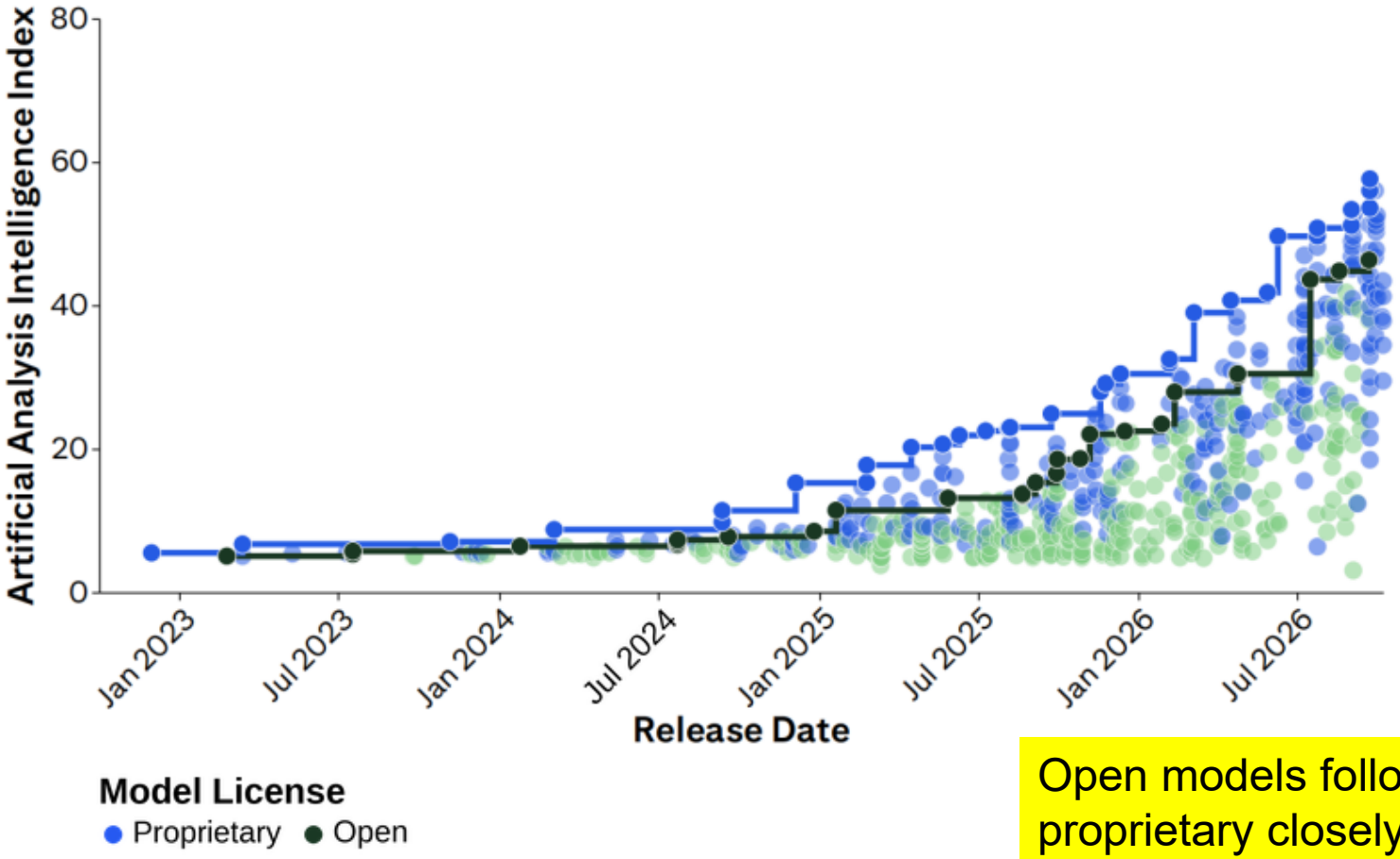


What we see for AI models – Cost & Return



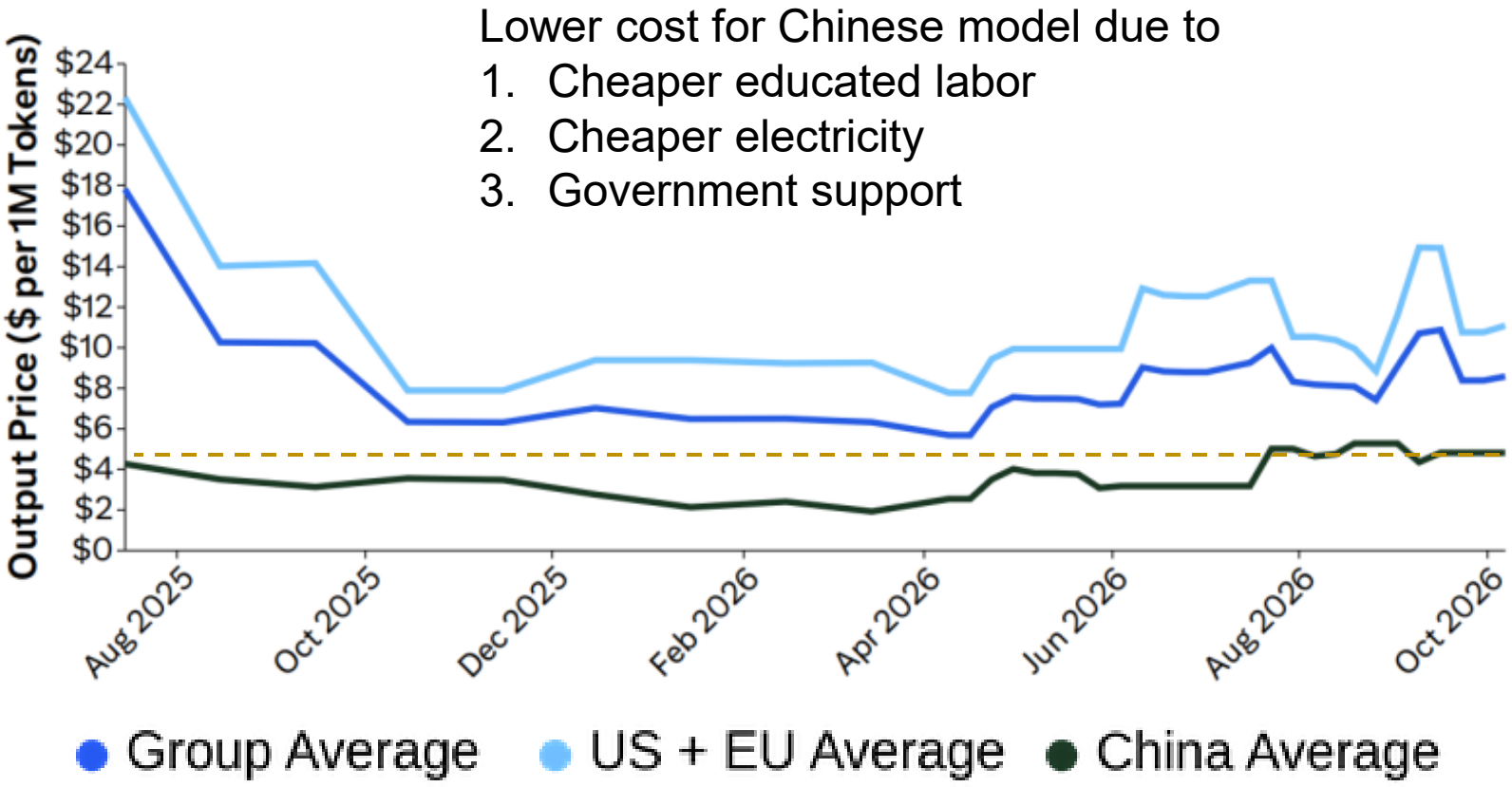
More extra cost for minimal improvement

What we see for AI models – Competition 1
Open-source models



Open models follow proprietary closely

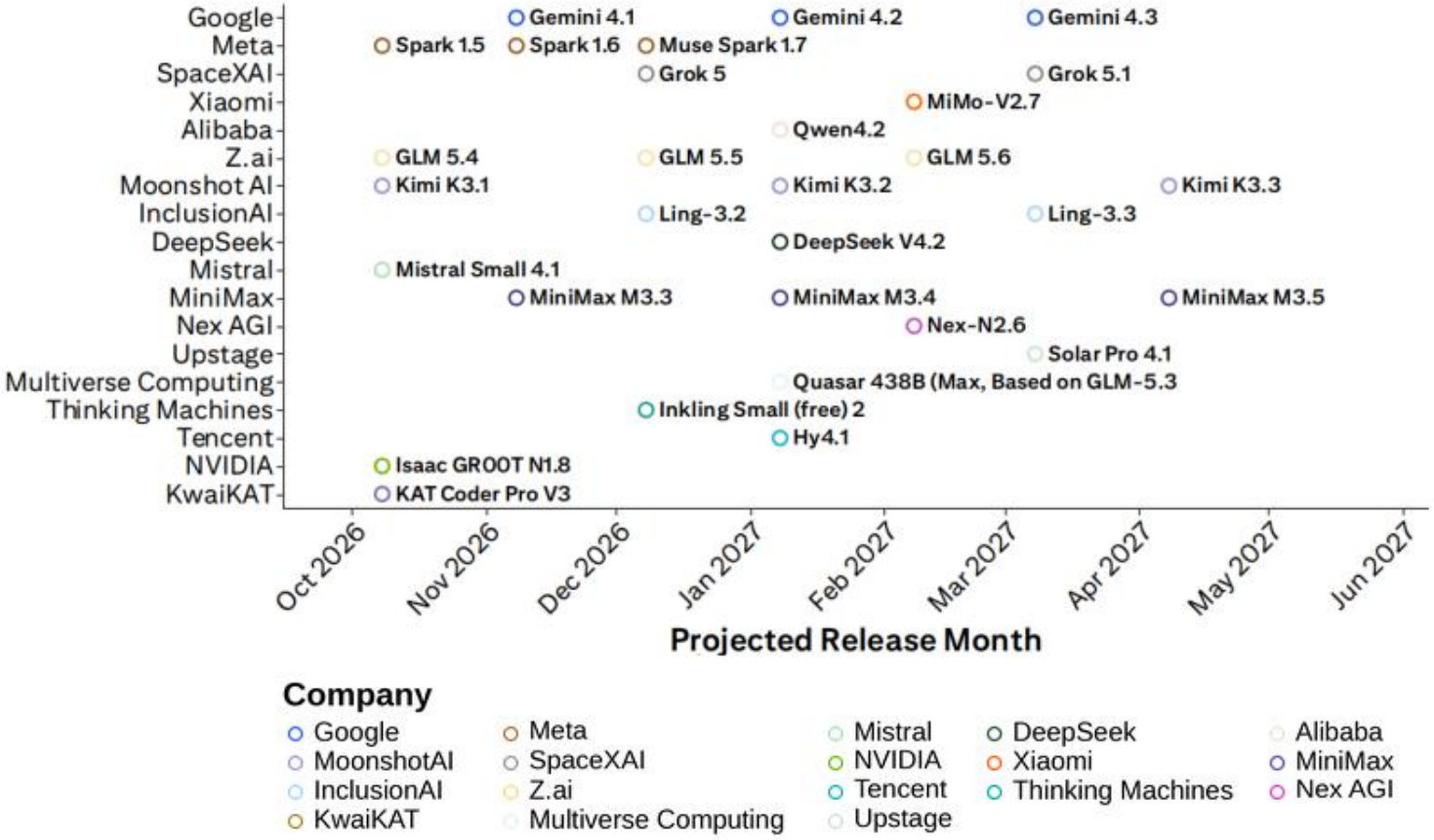
What we see for AI models – Competition 2: Cheaper Chinese models ($5 per 1M Tokens)



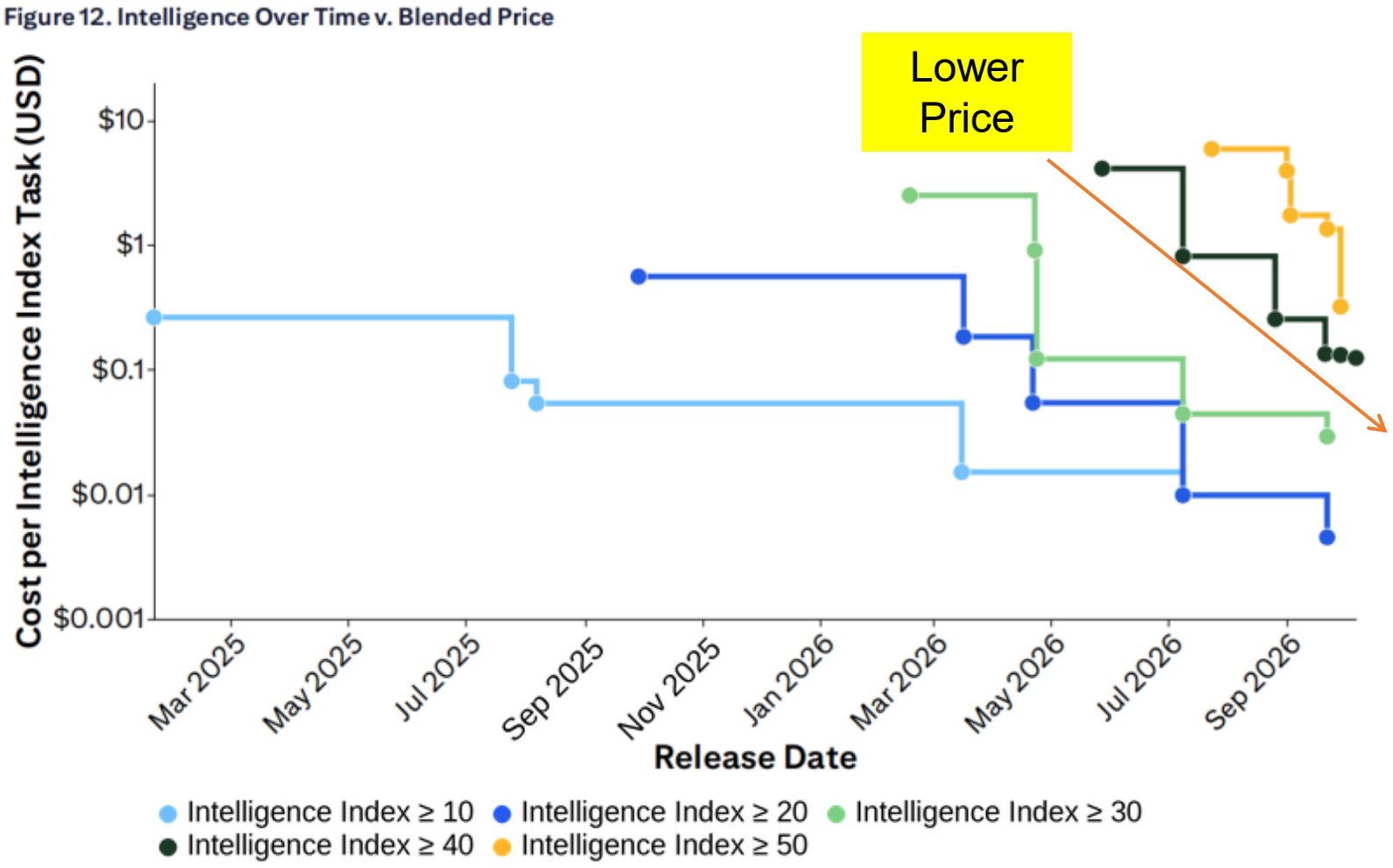
What we see for AI models – Competition 3: Future releases

Iteration pressure continues for every AI company

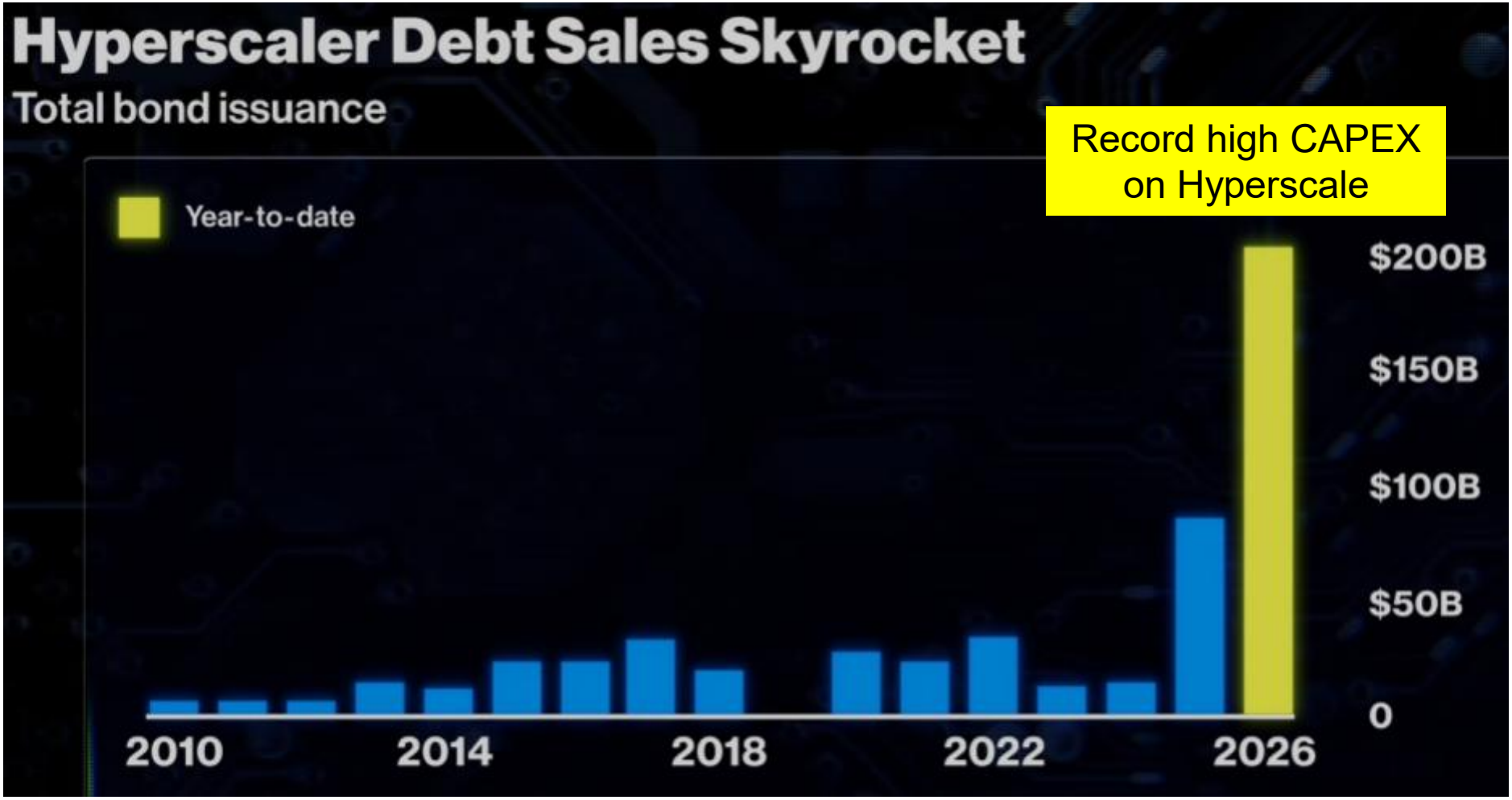
Figure 5. Projected Model Releases



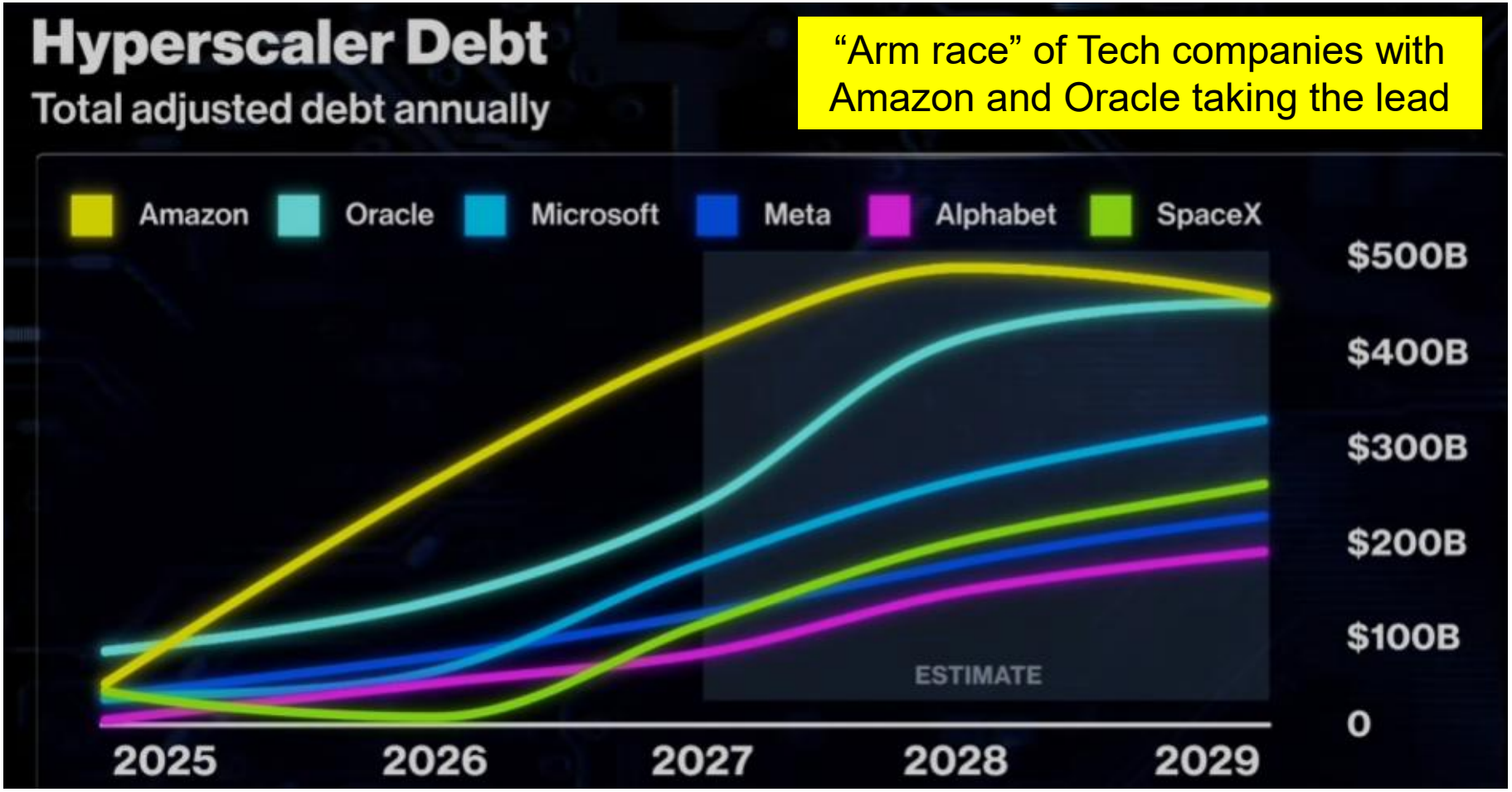
What we see for AI models – Price per task



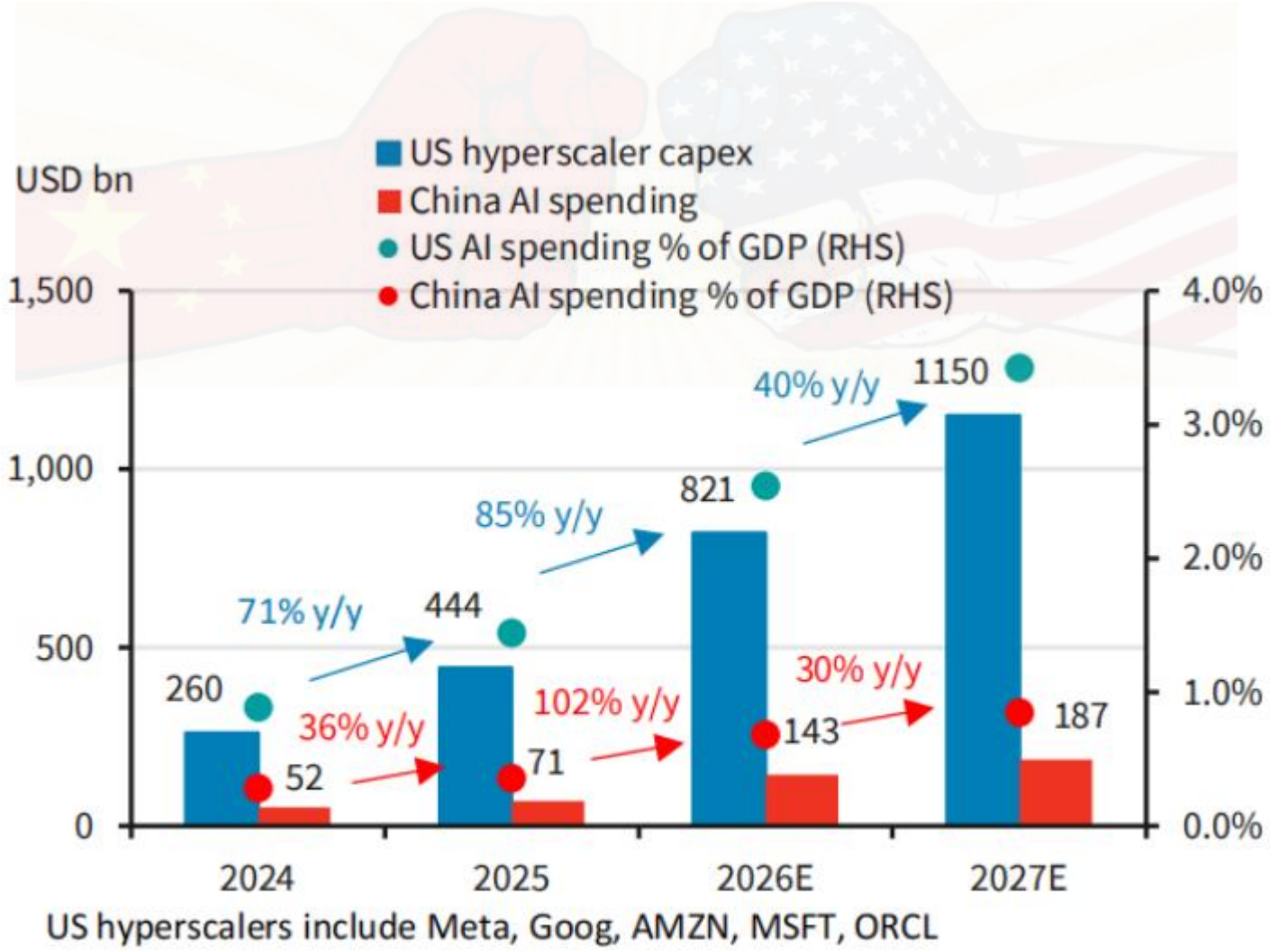
Hyperscale debt – Bond Issuance



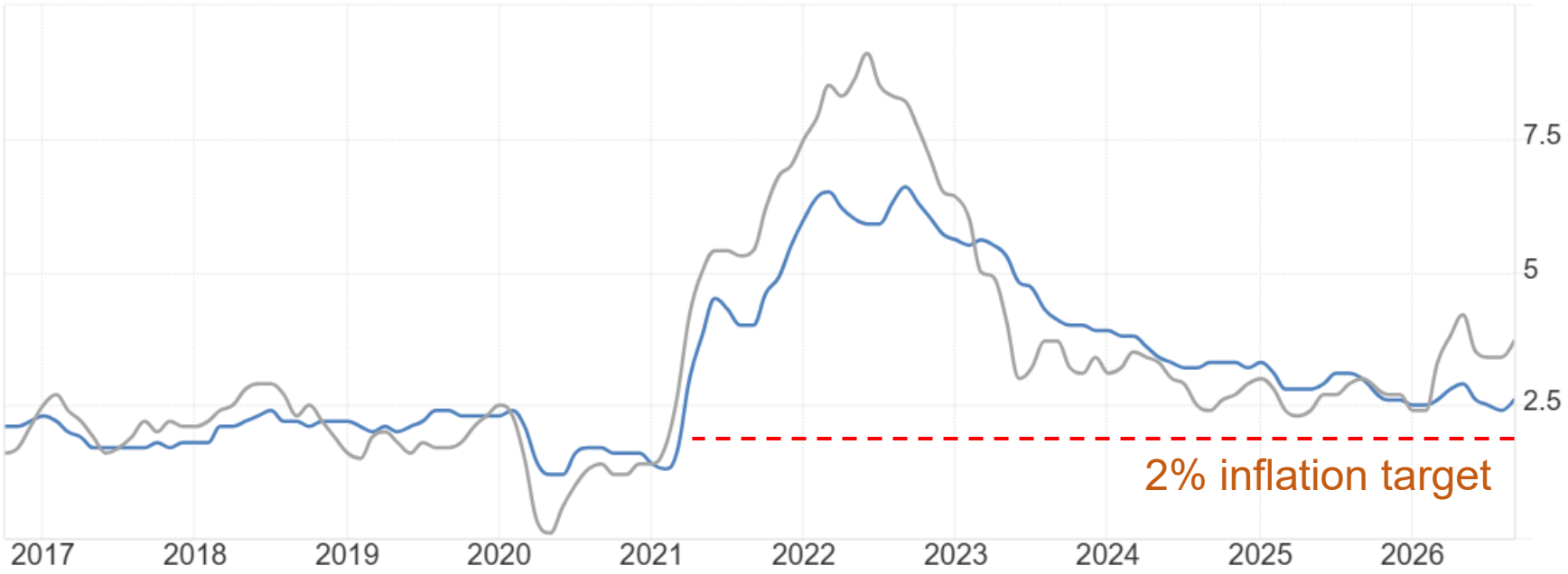
Hyperscale debt – Future debt



Hyperscaler capex is evolving into an “New Arms Race”



2026 September - Core CPI: 2.6%, CPI: 3.7%



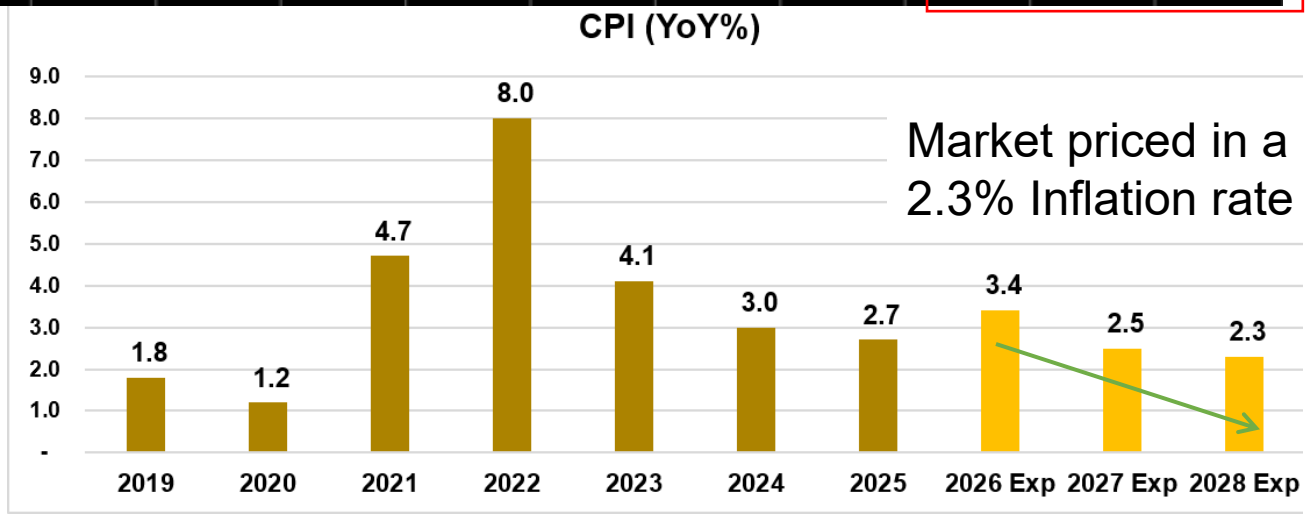
United States Core Inflation Rate (%) Value

United States Inflation Rate (%) Value

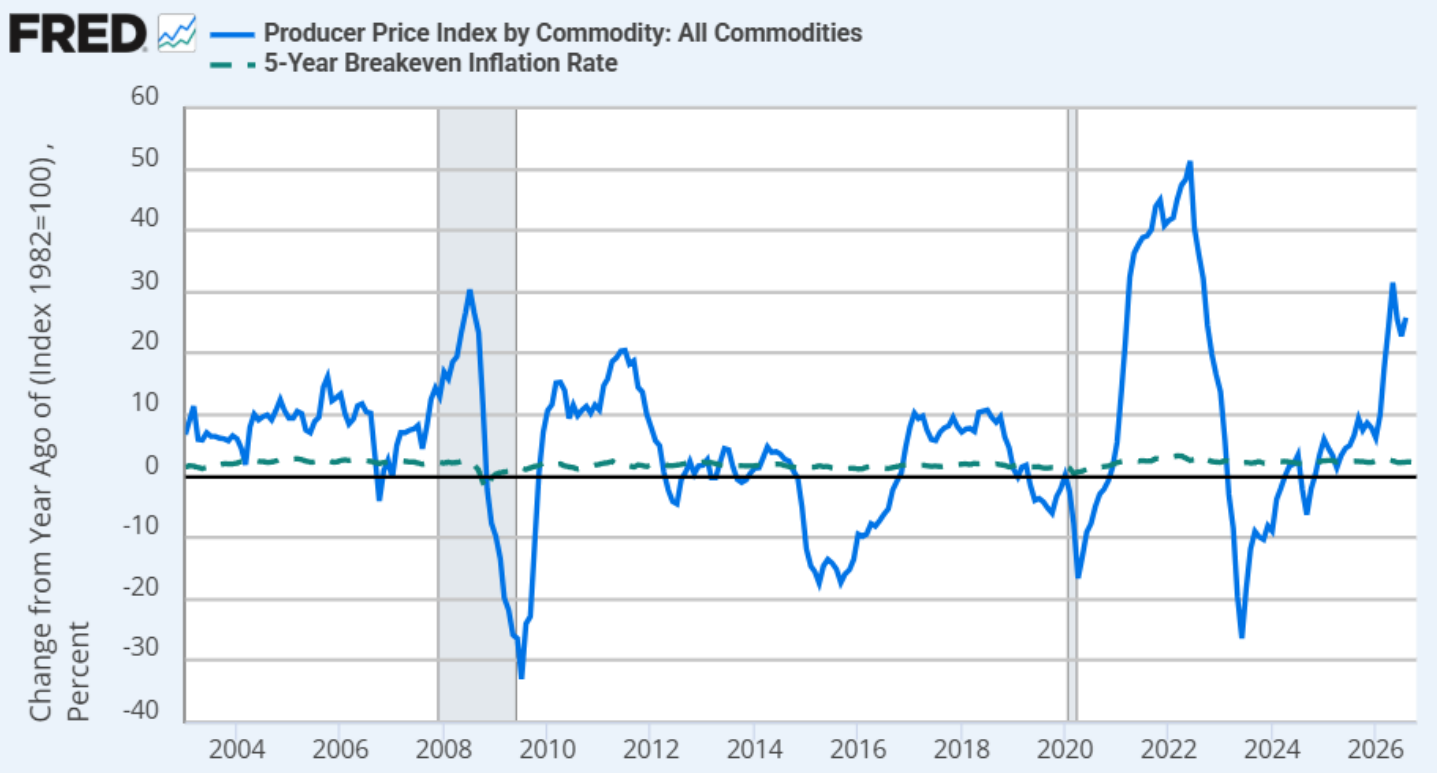
Inflation rate market priced-in

Country/Region/World | Contributor: Contributor Composite | Yearly | Quarterl
United States | Browse | Private | Official
Actual / Forecasts | Probability of Recession 20.0%

Indicator	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Price Indices										
CPI (YoY%)	1.8	1.2	4.7	8.0	4.1	3.0	2.7	3.4	2.5	2.3
PCE Price Index (YoY%)	1.4	1.1	4.1	6.5	3.9	2.6	2.6	3.6	2.5	2.1
Core PCE (yoy%)	1.7	1.3	3.6	5.3	4.2	2.9	2.8	3.3	2.6	2.2



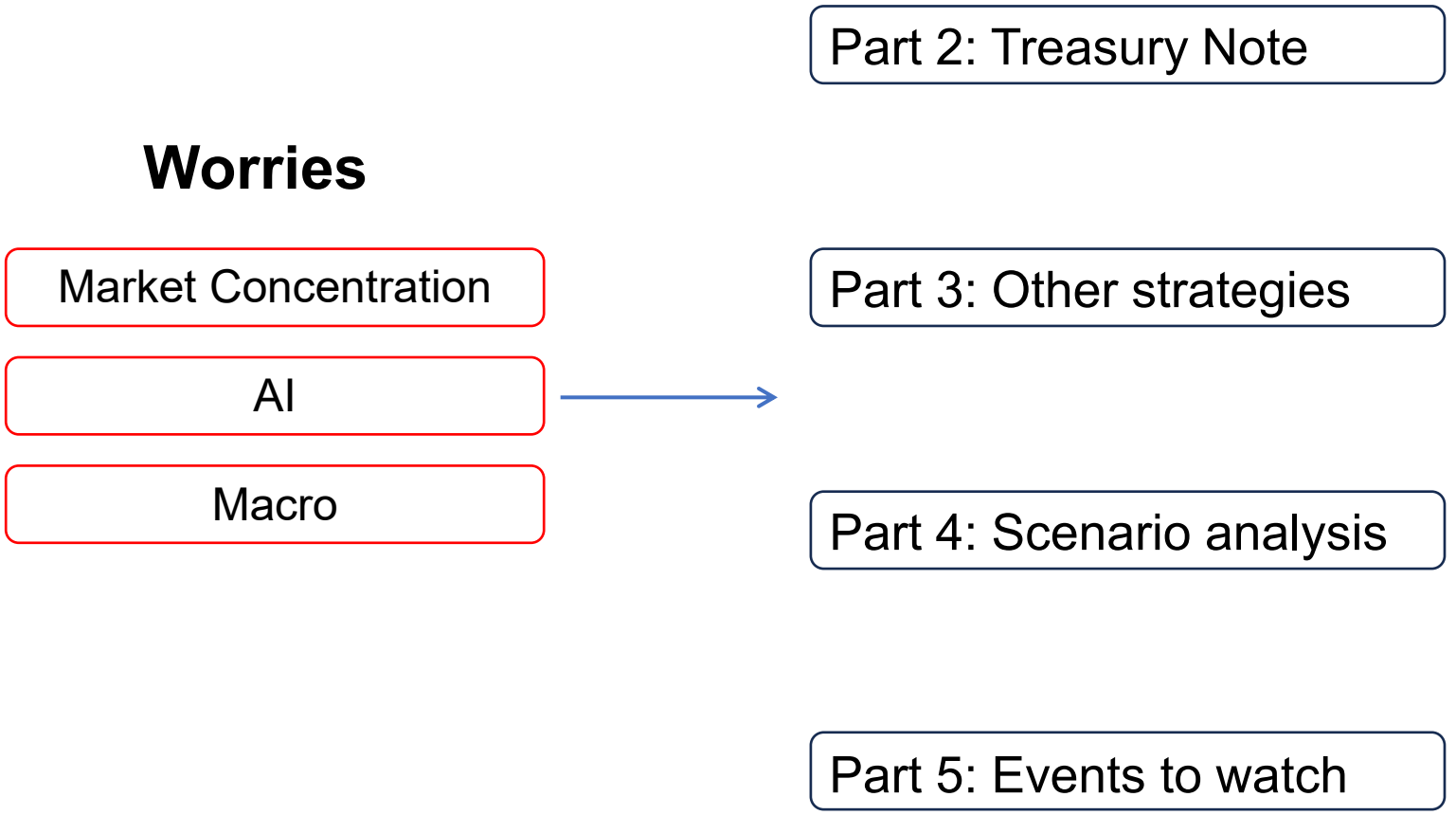
Inflation Risks: Where We Disagree with the Market



Is Inflation Really Contained?

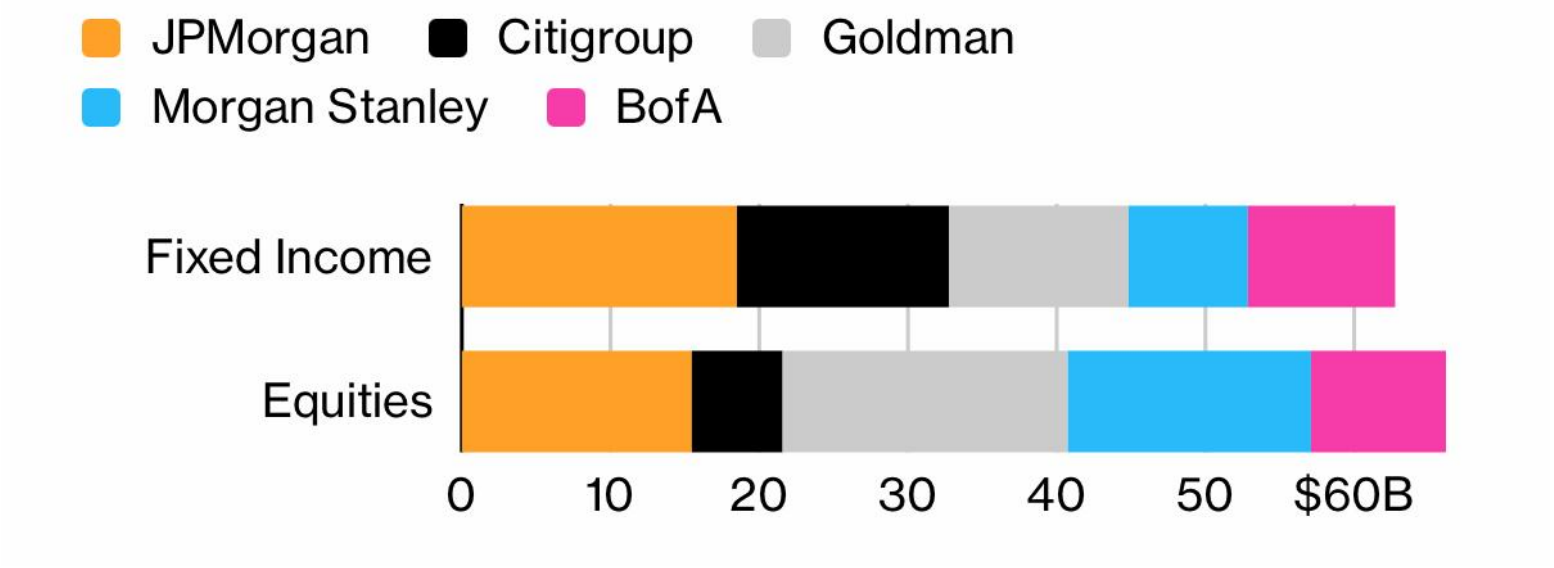
Commodity prices are up ~10% YoY, but breakeven prices haven't budged. In 2021, a similar surge pushed them up 1.5 points.

Our solution to worries



A solution to overcrowded equities

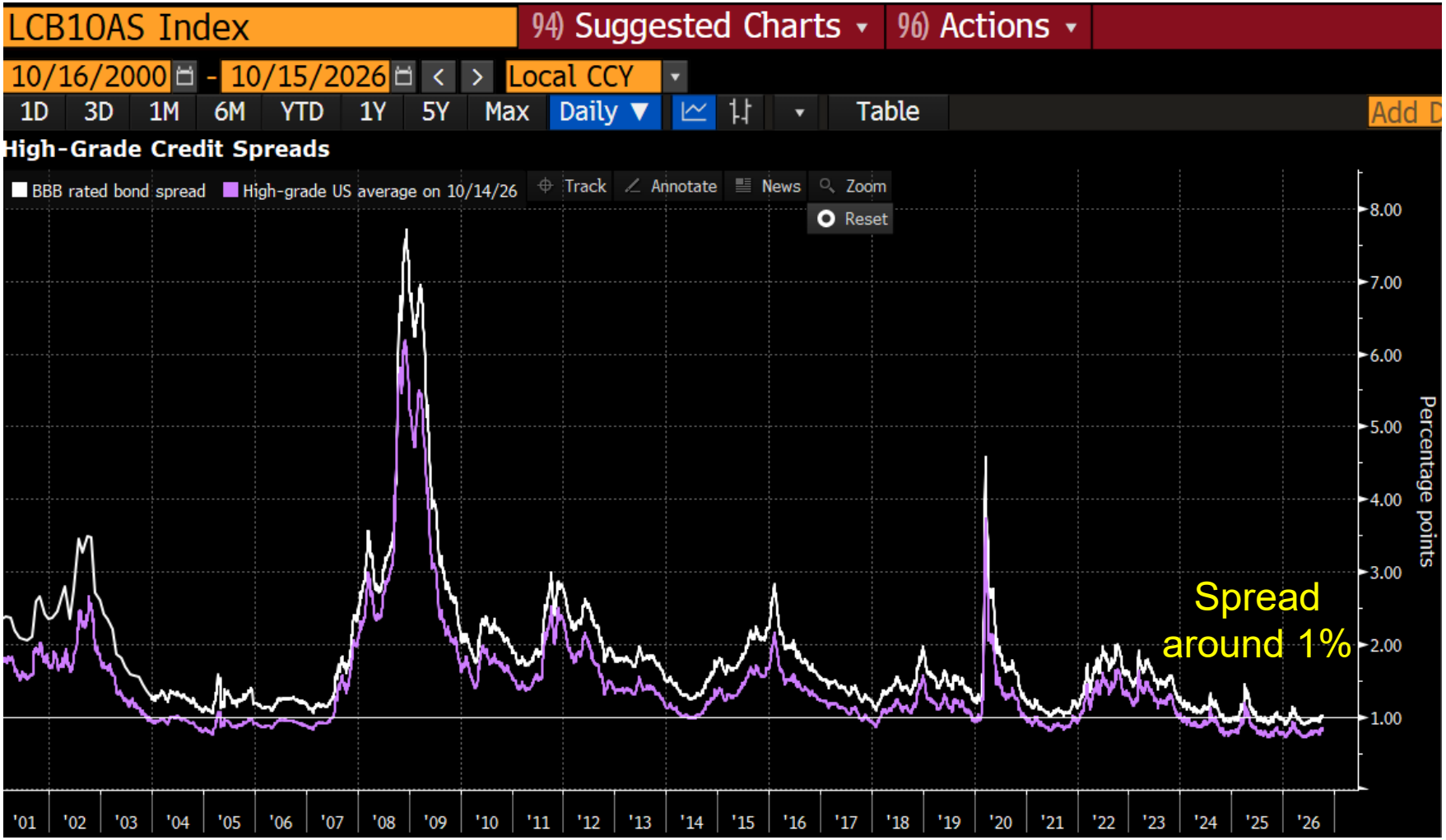
Q3 2026: Five banks earned $3B more from equities than from fixed income. The crowd (and the fee pool) is in stocks; we position the ignored bond.



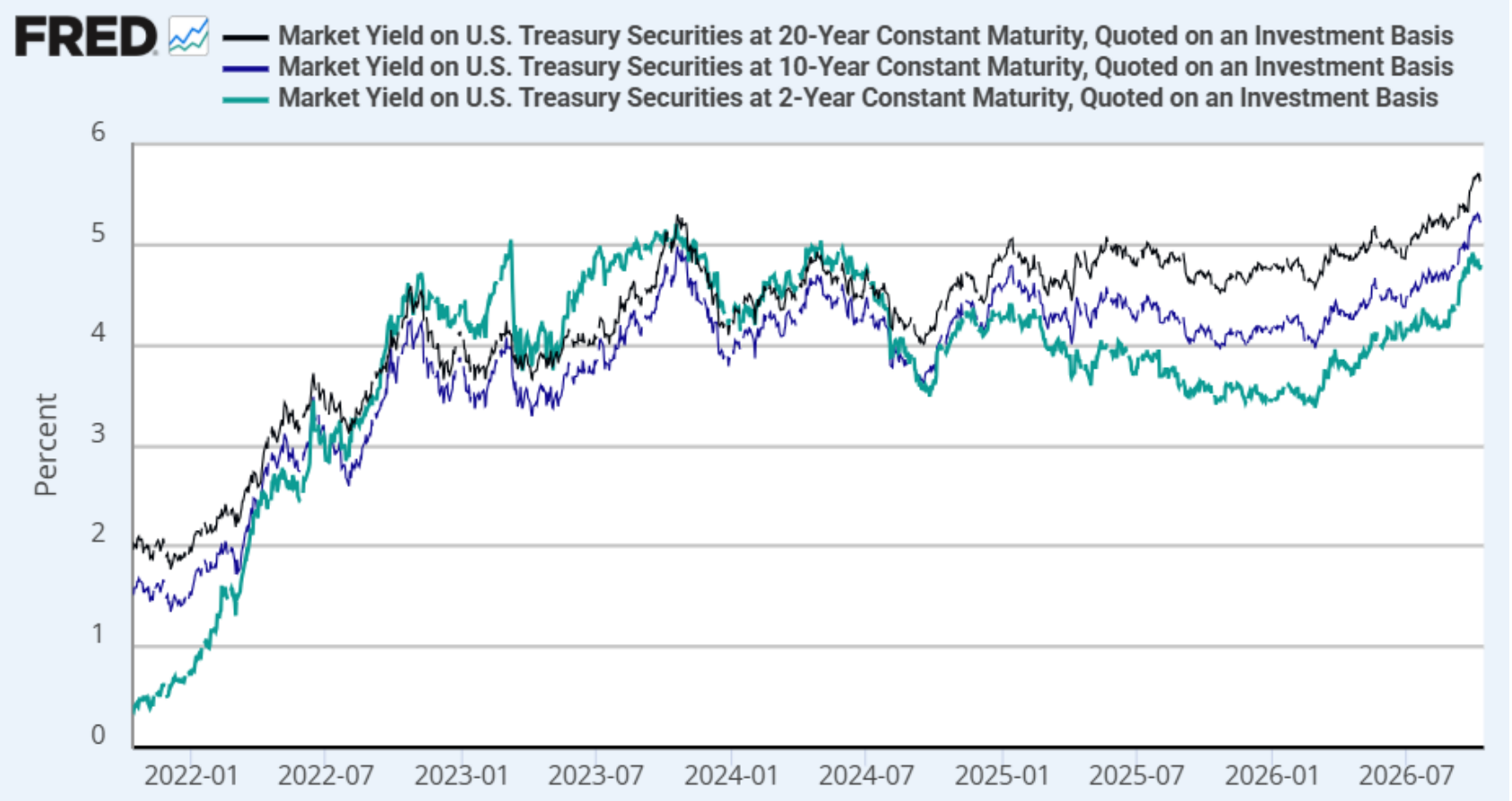
A low-risk solution to future uncertainties

Code	STD	ETF Name
SHV	1%	iShares 0–1 Year Treasury Bond ETF
SHY	2%	iShares 1-3 Year Treasury Bond ETF
IEF	7%	iShares 7-10 Year Treasury Bond ETF
TLH	11%	iShares 10-20 Year Treasury Bond ETF
TLT	13%	iShares 20+ Year Treasury Bond ETF
Bond Average	**7%**	
SPY	15%	State Street SPDR S&P 500 ETF Trust
DIA	15%	SPDR Dow Jones ETF Trust
QQQ	19%	Invesco QQQ Trust
Stock Average	**14%**	

Historical low credit spread



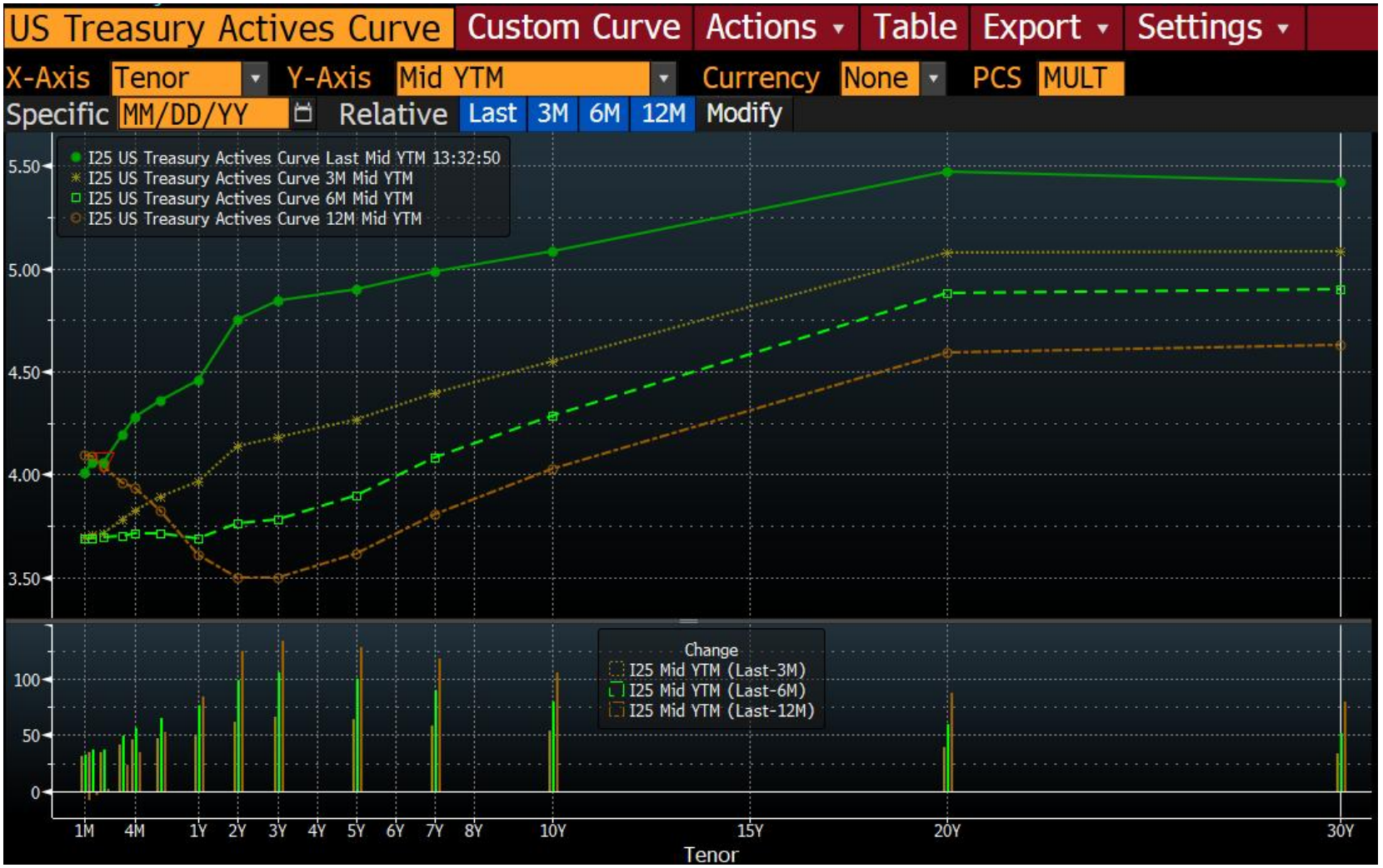
Short term vs Long term



Short-term offers:

1. Less exposure to duration risk
2. Wait and see during this uncertain period
3. Offers greater protection during market stress scenarios

Treasury Yield Curve: Where We Stand Today



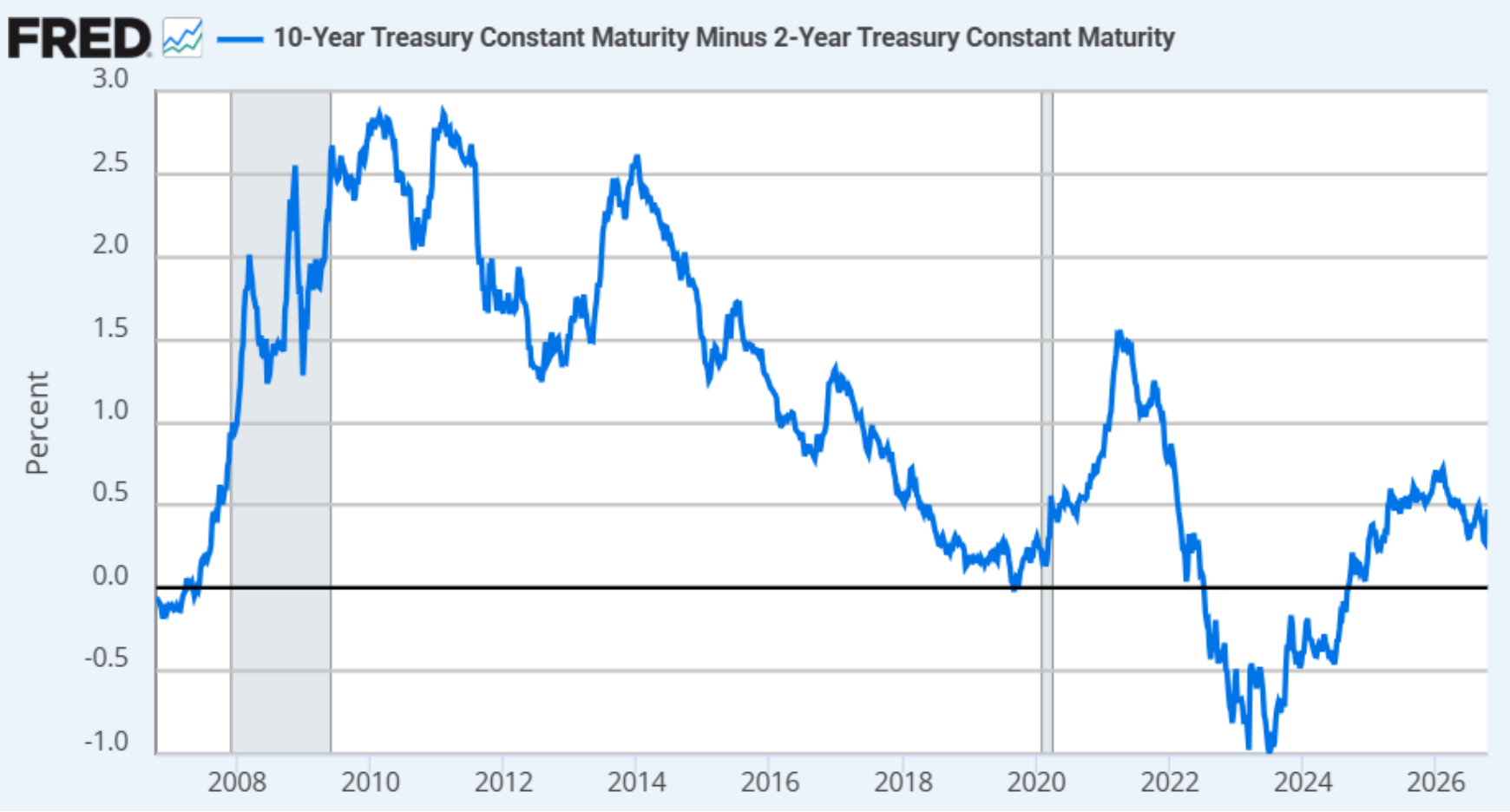
Current

3M ago

6M ago

1Y ago

US 10Y/2Y Spread (10Y ≈ 5.2% vs 2Y 4.74%)



Stay short-dated. Preserve flexibility.

Risks we are taking and avoiding

Risk we take:

- Duration Risk
- Reinvestment Risk
- Inflation Risk
- Default Risk

Risk we avoid:

01	**AI execution risk**	AI revenue and profitability may disappoint. Power, infrastructure and talent constraints could delay returns on investment.
02	**Earnings expectations**	Earnings misses could trigger a market repricing. Forward P/E may look low on overly optimistic EPS assumptions.
03	**Inflation & fiscal risk**	Energy costs or tariffs could keep inflation elevated. Fiscal concerns and weaker foreign demand could push long-term Treasury yields higher.

Why 2Y if we think inflation is underpriced?

Carry cushion

For: Protection if yields rise

4.74% carry ≈ 250 bp breakeven

Risk: loss only if shock > 250 bp

Short duration

For: Limiting damage in stagflation

+46 bp: 2Y −0.9% vs 10Y ≈ −4%

Risk: smaller gain if yields collapse

Not just T-bills

For: Locking in yield before cuts

2Y locks 4.74%; bills reprice in 2027

Risk: lags bills if Fed hikes twice more

Hedges outside the core

For: The 20% stagflation path

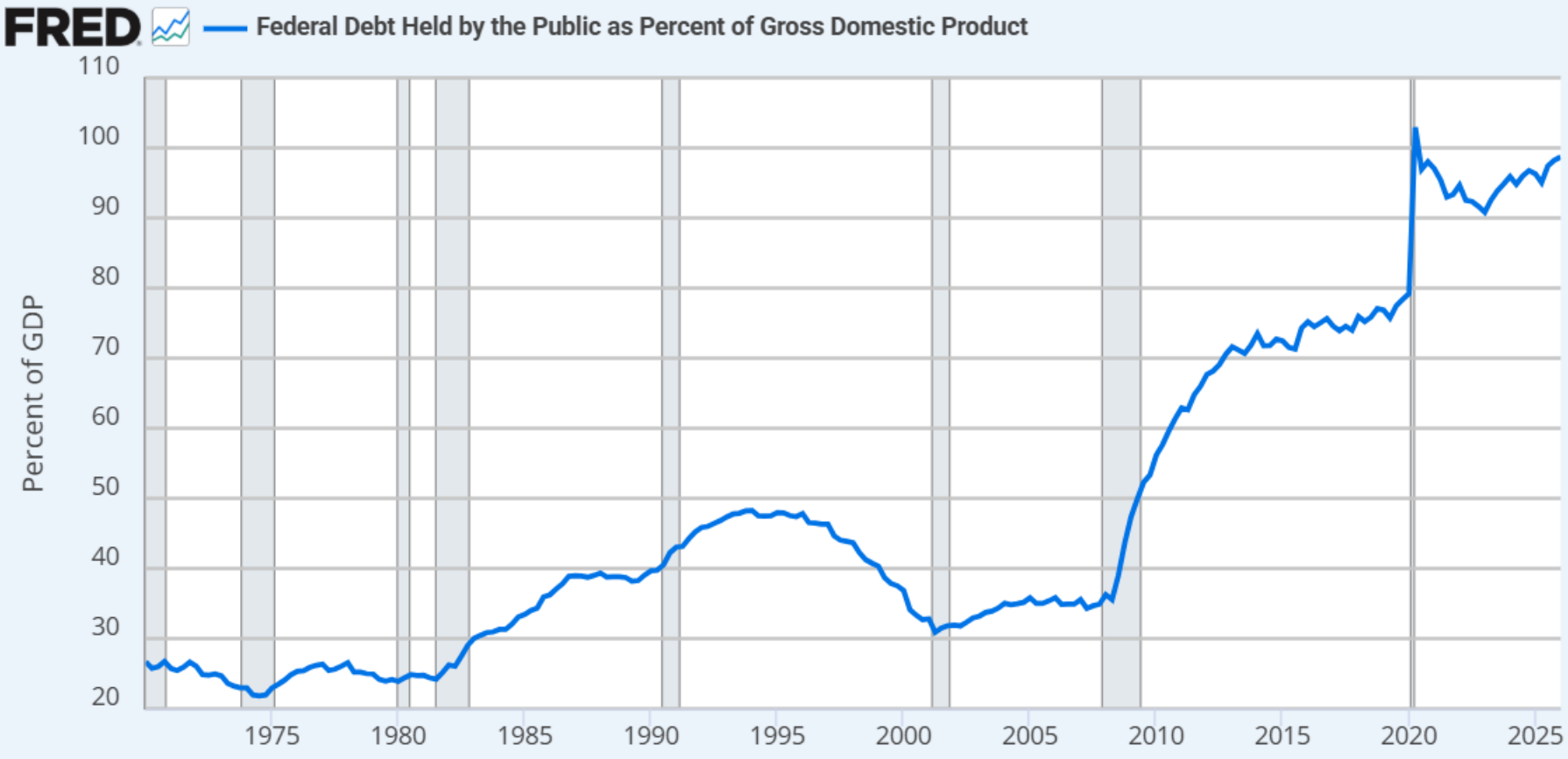
TIPS and gold as satellites, sized small

Risk: hedge cost drags if inflation cools

Why Avoid the Long End of the Curve?

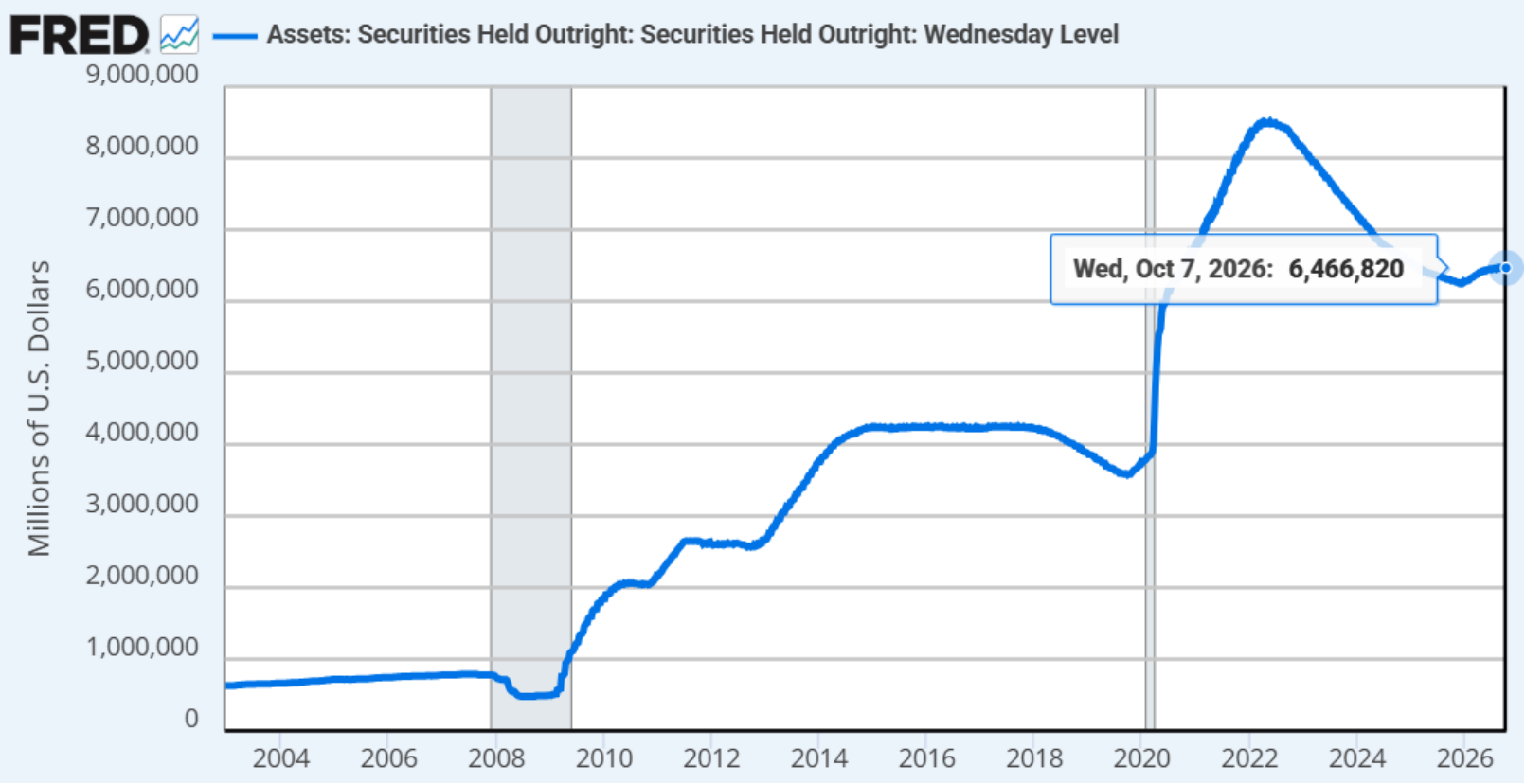


Why Avoid the Long End of the Curve? *Cont.*



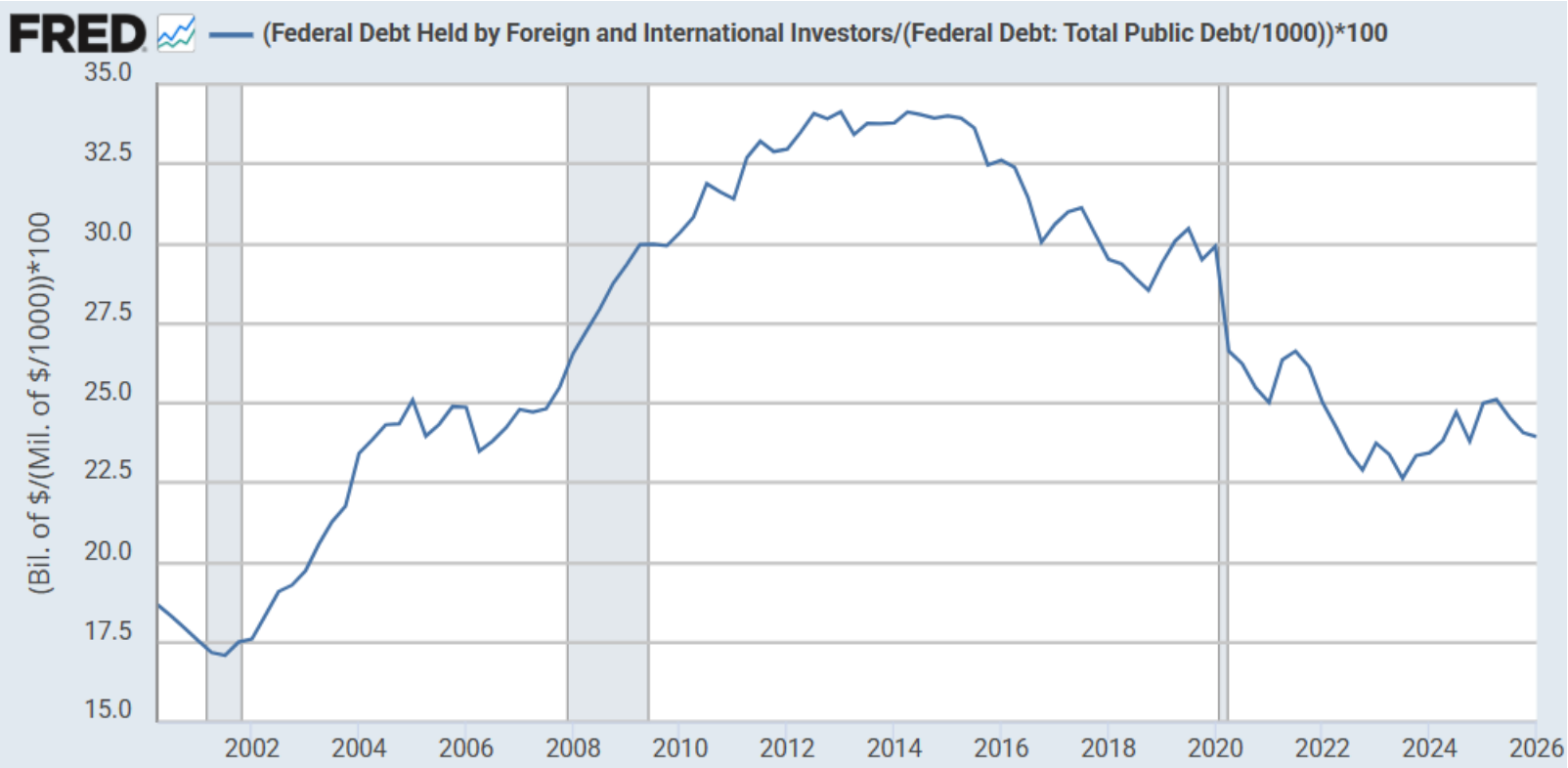
Debt held by the public (% of GDP):
More debt means more bonds to sell, and investors demand a higher term premium to absorb them.

Why Avoid the Long End of the Curve? *Cont.*



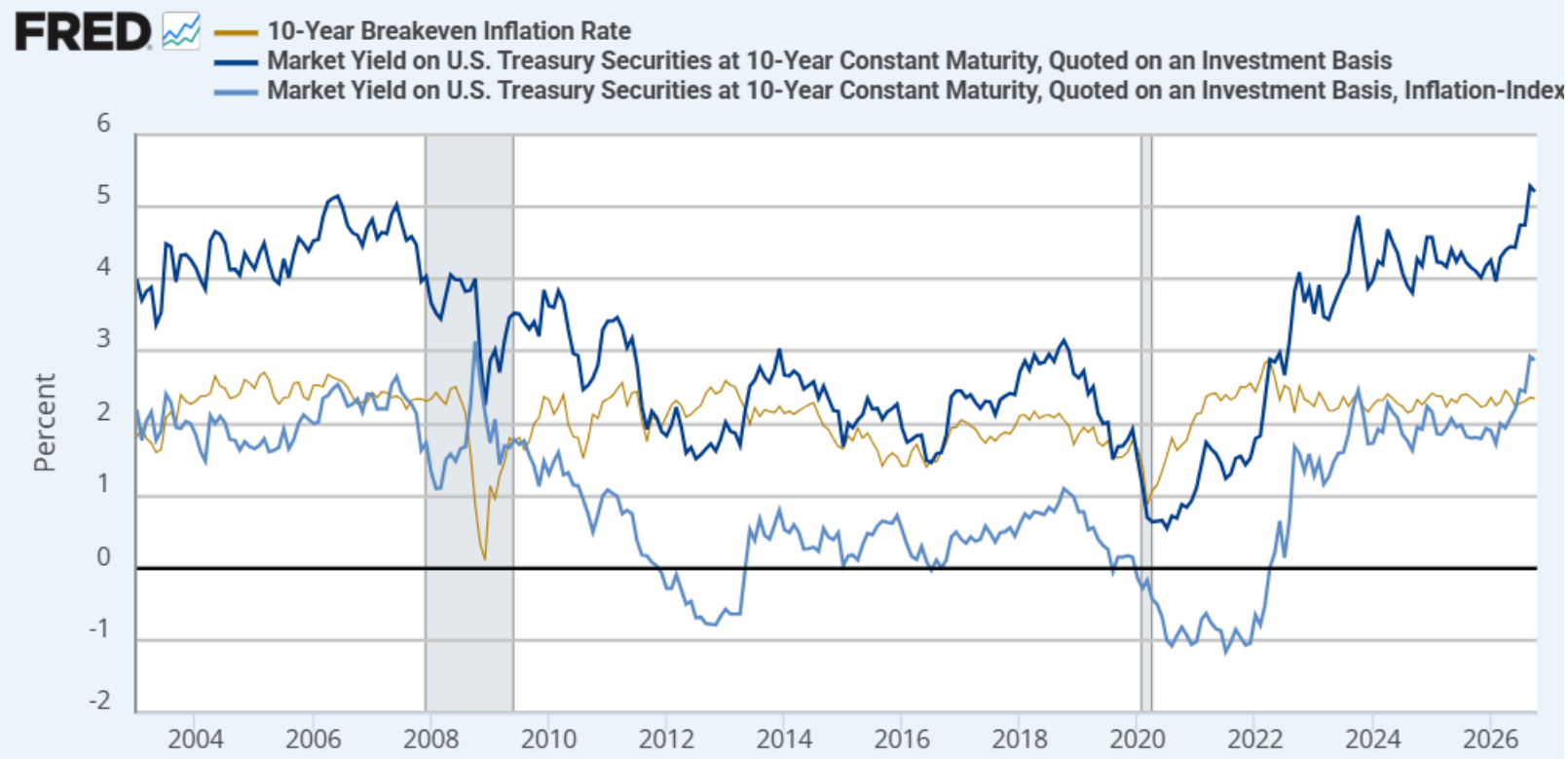
Fed Treasury holdings:
The Fed was the biggest buyer, and now it's selling. With that support gone, term premium must rise to attract private buyers.

Why Avoid the Long End of the Curve? *Cont.*



Foreign share of Treasuries:
Foreign central banks used to buy regardless of price. As their share shrinks, the remaining buyers demand more yield, which pushes term premium higher.

Why Avoid the Long End of the Curve? *Cont.*



Inflation Not Driving the Long End:
Inflation expectations have held near 2.3% since late 2022. The rise in the 10Y has come from real yields, which is where the term premium sits.

Alternatives for different investor needs

TIPS

For: Persistent inflation

2.67% real · 2.36% 5Y BE
Risk: Inflation may undershoot breakeven

CDS insurance

For: Credit-stress hedge

Cost: ~15 bp / year

Risk: Pays mainly in a credit event

Gold

For: War / USD / fiscal risk

~$4,140 · 26% below Jan high
Risk: No income; real yields can hurt

T-bills & cash

For: Liquidity / flexibility

Yield: 4.2%–4.4%

Risk: Misses upside if yields fall

Four paths for the next 12 months



Four paths for 2Y note in the next 12 months (Current 4.74%)

BULL 20% -> Yield 3.35%

The Fed stops early. Core CPI cools to 0.2% or lower. Oil eases. The AI story begins to fade.

BASE 45% -> Yield 4.05%

The market gets what it prices: a December hike, then cuts resume in 2027 as growth slows. Oil near $100. AI story remains.

AI BUST 15% -> Yield 3%

A funding deal fails. Spreads gap and yields fall.
Capital flow into bonds.

STAGFLATION 20% -> Yield 5.2%

Oil above $115, core CPI 0.4% twice. The Fed hikes again. CAPEX remains high for AI.

Our view: 35% on yields ending lower than priced, 20% on the hot path. Probability-weighted yield: 3.98% (next slide)..

Our fair value: 3.98% yield, ~5.5% 12M return (2Y today 4.74%; T-bills 4.3%)

BULL 20% → 3.35% | +6.1%

Total return = price + 4.74% carry. Price +1.3% (−139 bp × 12M-horizon duration ≈ 1.0)

BASE 45% → 4.05% | +5.4%

Price +0.7% (−69 bp) + carry 4.74%

AI BUST 15% → 3.00% | +6.4%

Price +1.7% (−174 bp) + carry 4.74%

STAGFLATION 20%→5.2% | +4.3%

Price −0.4% (+46 bp) + carry 4.74%. Still positive thanks to the carry cushion

Fair value 3.98% (76 bp below today); expected return ≈ 5.5% vs 4.3% on bills → BUY.

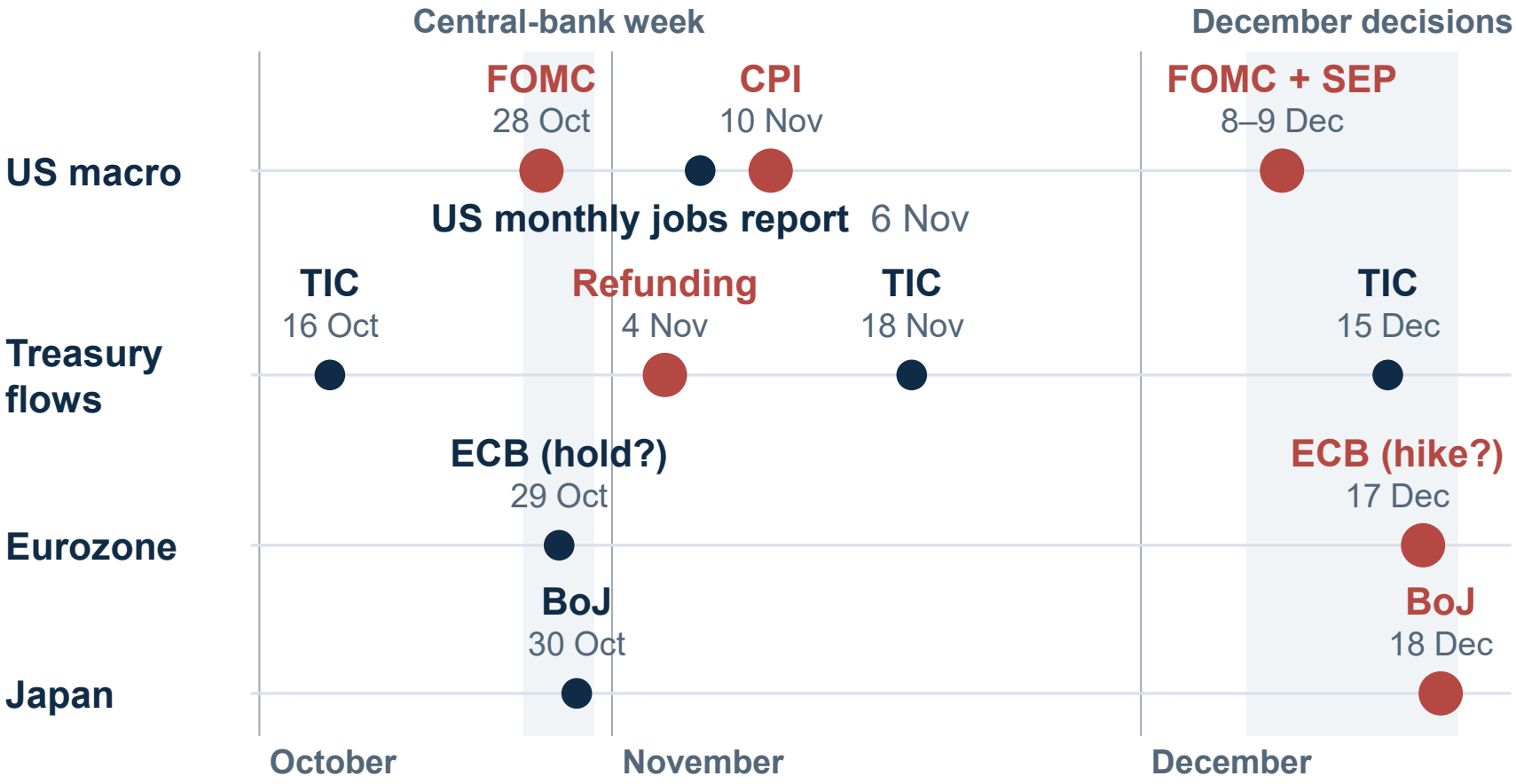
Our action – Entry, stop loss & profit target

Decision	Trigger (measurable)	Our move
Entry (now)	2Y 4.74% vs our 3.98% fair value; December hike already priced	Buy 2Y now. Add if yield spikes above 5.0%
Stop loss	2Y closes above 5.20% (our stagflation yield) or core CPI ≥ 0.4% m/m twice	Exit at ≈ −0.9% price (46 bp × 1.9 duration): thesis wrong, not early
Profit target	2Y reaches 3.35% (bull yield), or IG OAS > 110 bp (AI-bust risk-off)	Take profit ≈ +2.6% price + carry. Extend to 5Y only if term premium stalls
Hold / roll	December hike delivered, core CPI 0.2–0.3% m/m, Brent below $115	Hold 2Y, roll bills; reassess at the 8–9 Dec FOMC

Our view: the stop costs ~0.9% against 4.7% of carry; the target pays ~2.6% plus carry. Every move has a number, not a feeling.

Catalysts that move our portfolio

14 Oct · September CPI: core +0.3% m/m, headline +0.6% (3.7% y/y)
Hotter than expected; 2Y 4.74% is still well below our 5.20% stop. Hold.



Note: SEP = Fed projections · TIC = foreign buying of Treasuries

What we see and our solution

1. **Treasury Note as the core defense**
   High-quality sovereigns protect if AI-driven growth slows and risk appetite fades.
2. **Stay selective on duration: 2Y is our pick**
   Hold moderate duration now; extend as growth slows and inflation eases.
3. **US debt refinancing still matters**
   Large deficits and heavy issuance can keep long yields high, even in risk-off markets.
4. **Keep liquidity for better entry points**
   Short bonds and cash preserve flexibility to add duration at better yields.
5. **Watch the thesis; keep options open**
   Reassess at each CPI and FOMC. TIPS, gold, CDS and bills as alternatives for other needs.